

**IN THE MATTER OF AN ARBITRATION
BEFORE THE QATAR INTERNATIONAL CENTRE FOR CONCILIATION AND ARBITRATION**

BETWEEN:

(1) AL ORAIQ REAL ESTATE INVESTMENT LLC

(STATE OF QATAR)

Claimant

-and-

SHAPOORJI PALLONJI QATAR WLL

(STATE OF QATAR)

Respondent

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I. INTRODUCTION

- 1 The Claimant delivered its Notice of Arbitration on 15 September 2021, for purpose of justifying its calls on the Respondent's performance bond, advance payment guarantee and retention guarantee, which it sent to the banks on the following day, 16 September 2021.
- 2 At approximately the same time, the Respondent delivered a Request for Arbitration in which it sought to refer its claims for extensions of time, payment of prolongation costs, payment of compensation for variations and payment of compensation for disruption to arbitration.
- 3 At the Claimant's request, the parties agreed that the Respondent would withdraw its Request for Arbitration and would advance its claims in this arbitration by way of counterclaims and defences to the Claimants' claims. The Respondent therefore hereby delivers its Statement of Counterclaim, together with its Statement of Defence and asks that the Tribunal read the two documents in conjunction.
- 4 Consequently, the Respondent will particularise its claims for:
 - 4.1 An extension of time to the Time for Completion, based on the as-built critical path and the delays experienced by the project either as a result of Employer and Engineer delays or delays beyond the control of the parties. The Respondent will provisionally establish an entitlement to the extension of the Time for Completion to 2 February 2021. The delay analysis on the as-built critical path is ongoing, particularly with respect to finishing, testing and commissioning and the Respondent's right to submit the revised Time for Completion once the analysis has been completed is expressly reserved;
 - 4.2 Payment of prolongation costs;
 - 4.3 Payment of compensation for disruption of the works;
 - 4.4 Payment of amounts due to the Respondent for variations instructed by the Claimant and the Engineer. In many instances these variations and

the works completed pursuant to those instructions are common cause but the Claimant has not made payment of the amounts due and the Engineer has declined to certify those amounts. In other instances, the variation instruction itself is common cause but the quantification of the compensation payable to the Respondent is in dispute.

II. EXECUTIVE SUMMARY OF RESPONDENT'S COUNTERCLAIMS

- 5 The Respondent will, for the benefit of the Tribunal, set out a summary of the Respondent's case, identifying the key components of the Respondent's case.

Addendum No.1

- 6 In terms of the Contract, works commenced on 1 June 2015 and the Time for Completion was 30 September 2018.

- 7 The Contract contains detailed provisions regulating the Respondent's entitlement to seek an extension of the Time for Completion and to seek payment of additional costs in the event that the Engineer determines that the Respondent is entitled to such an extension.

- 8 From the outset, the Respondent was faced with delay events which were either as a result of conduct on the part of the Claimant and the Engineer or events which were beyond the control of the parties. By way of example:

- 8.1 From the outset, there were changes in design issued by the Engineer in relation to the mechanical, electrical and plumbing ("MEP") works. Although the approved baseline program anticipated that the Respondent would commence work on the superstructure of Tower AQ5 on 2 January 2016 and complete those works by 1 August 2017, the Engineer issued extensive changes to the MEP design and layout through IFC drawings issued on 24 August 2016. Those changes were ongoing with revised electrical layouts being received in November 2015. Thereafter, there were continuous changes to the MEP design or outstanding MEP details,

which delay events persisted over the period August 2016 until at least June 2020.

- 8.2 The Engineer, however, simply refused to recognise the criticality of late MEP design on the commencement and completion of the superstructure;
- 8.3 On 5 June 2017, a group of countries in the Middle East, led by Saudi Arabia, imposed an economic blockade on Qatar, as a result of which all traffic between Saudi Arabia, the United Arab Emirates, Bahrain and Qatar was suspended, whether by land, air or water. This seriously impacted upon the procurement of long-lead items and, in particular, MEP related procurement requirements, which would have come from the United Arab Emirates or had to be shipped through the countries which were party to the diplomatic blockade. This was clearly an event which was unforeseen and beyond the control of the parties. However, after the Respondent gave notice of a force majeure event and sought extensions of time for the delayed procurement (despite the Respondent putting in place alternative procurement strategies to mitigate against these delays), the Engineer replied stating that the blockade did not constitute a force majeure event and that because procurement was a contractor responsibility, the Employer would not entertain any changes to the Contract price or Time for Completion. In addition, the Engineer adopted the position that the Respondent ought to have procured all long-lead and MEP items before the blockade had commenced, which would self-evidently have been impossible and there would not have been adequate storage for such volume of procurement;
- 8.4 The joinery subcontractor, Mobica, was appointed on the instruction of the Claimant. The Respondent objected to the appointment of the subcontract as a result of which the Claimant agreed to indemnify the Respondent for any losses which might arise from non-performance on the part of that subcontractor;

- 8.5 Substantial delay was experienced in the completion of the joinery works which directly impacted the critical path during finishes, testing and commissioning. This notwithstanding, the Engineer and the Claimant have refused to recognise the critical delay caused by a subcontractor appointed at their instance and have refused to grant any extensions of time.
- 9 Consequently, despite the fact that Clause 8.4 of the Contract as read with Clause 20.1 thereof provides detailed extension of time mechanisms to extend the Time for Completion where the works are delayed either by the Claimant (such as in the case of delayed and revised MEP layouts and specifications) or are delayed for reasons beyond the control of the parties (such as the diplomatic blockade), the Claimant and the Engineer refused to give effect to those provisions.
- 10 The Respondent submitted four extension of time claims over the period 5 January 2017 to 12 December 2018, in which it sought an extension of time to the Time for Completion to 28 September 2020. However, the Engineer failed to determine any one of those claims, in breach of its obligation to do so within 42 days, as per Clause 3.5 of the Contract. The consequence of this was that by 30 September 2018 (the original, contractual Time for Completion):
- 10.1 The works had not been completed;
- 10.2 The Respondent had established an entitlement for an extension of time to the Time for Completion to September 2020, which represented a reasonable period within which to complete the works, having regard to the delay events experienced;
- 10.3 However none of its extension of time claims had been assessed and the Respondent was consequently carrying the cost of the extended contract period.
- 11 The consequence of this was that:

- 11.1 The Respondent's financiers began to limit further access to finance, as the risk for a call on the Respondent's performance bonds, retention bonds and advance payment guarantees were considered considerable, until an extension of time had been granted and the risk of a call on those securities fell away;
- 11.2 The Respondent's cashflow became heavily impacted by virtue of it having to carry the cost of the prolonged contract period and that in turn impacted upon the payment of subcontractors.
- 12 By February 2019, the Claimant and the Engineer had still not assessed any extension of time claims or paid any prolongation costs. However, the Claimant presented the Respondent with a document styled as "*Addendum No.1*" and required the Respondent to execute that addendum. In doing so, the Claimant:
- 12.1 Promised to obtain and facilitate further extensions of time;
- 12.2 Provide additional advance funding to assist the Respondent in completing the works.
- 13 Based on these undertakings and promises, and given the cashflow constraints experienced by the extended contract period without having received payment of any prolongation costs, the Respondent agreed to sign the Addendum No.1.
- 14 Addendum No.1 had the effect that:
- 14.1 Time for Completion was extended to 15 July 2019, despite the fact that the Respondent had already established a right to an extension of time until September 2020. However, the Claimant's representatives undertook to procure additional extensions of time from the master developer and to pass those extensions of time onto the Respondent;
- 14.2 The Respondents' claims for compensation due as a result of variations instructed variations was limited to QAR 10 million, despite the fact that it was entitled to payment of substantially larger amounts.

15 Notwithstanding the basis upon which the Respondent agreed to enter into Addendum No.1, and the undertakings and representations given and made by the Claimant, no further extension of times were given subsequent to Addendum No.1 and the additional financing was not forthcoming.

16 The Respondent contends that for the reasons set out in greater detail later, Addendum No.1 is void, alternatively voidable, alternatively unenforceable.

The Respondent's Extension of Time Claims

17 As has been set out above, the Respondent delivered four applications for extensions of time and revision of the Time for Completion in terms of Clause 8.4 of the Contract, as read with Clause 20.1 of the Contract. However, the Employer and the Engineer deliberately did not determine those applications and waited until after the Time for Completion had been overrun to address this through Addendum No.1. By that stage, the Respondent had already established a right to a revision of the Time for Completion to September 2020.

18 Subsequent to the conclusion of the addendum and the revision to the Time for Completion unilaterally imposed upon the Respondent, the project continued to suffer extensive delay either at the behest of the Claimant and the Engineer or through events which could not have been foreseen. The Respondent therefore delivered a further six requests for a revision of the Time for Completion in terms of Clause 8.4 of the Contract.

19 Extension of time applications five through to ten were summarily refused by the Engineer without any analysis or determination in accordance with the provisions of Clause 3.5 of the Contract.

20 The Engineer delivered a determination refusing extension of time claim eleven for reasons which the Respondent contends are erroneous and which constitute a transparent attempt to avoid granting extensions of time to which the Respondent is patently entitled.

- 21 The Respondent has since undertaken a delay analysis, based on the as-built critical path. The analysis is ongoing but the analysis has provisionally established an entitlement to an extension of the Time for Completion to at least 2 February 2021. The delay analysis, based on the as-built critical path will in due course be addressed further through witness statements and expert reports and the Respondent's right to revise its claim to reflect the updated delay analysis are expressly reserved.
- 22 Arising from the prolongation of the construction period, the Respondent is entitled to payment of prolongation costs. As is more fully set out later, the Respondent has provisionally assessed those prolongation costs at QAR 173,520,027.00
- 23 As the Respondent's entitlement to an extension of time is subject to ongoing analysis, the quantum of the prolongation costs to which the Respondent is entitled is also subject to revision. This will be addressed further in due course through witness statements and expert evidence.

Variations

- 24 In terms of Clause 13.1 of the Contract, the Engineer may at any time prior to issuing the Taking-Over Certificate for the works instruct the Respondent to vary the works by doing additional work or varying the specification for works. In such event, the Respondent is bound by the Engineer's instruction and is obliged to carry out the variation.
- 25 In such case, the Respondent is entitled to be compensated for the cost of carrying out the instructed variation.
- 26 During the course of the project, the Engineer instructed 41 variations which were duly carried out and completed by the Respondent and for which the Respondent is entitled to compensation in the total sum of QAR 90,546,757.65. Those variations are all either common cause but have not been certified or paid, the variation itself is common cause but the quantum of the compensation has not been agreed or despite the Engineer or the Claimant having instructed a variation, the Claimant and Engineer have denied it as being such.

27 The Respondent will therefore assert claims for payment of compensation for variations instructed by the Engineer as aforesaid.

Disruption

28 The works were substantially disrupted by the Claimant and the activities of the Engineer. As will be more fully explained below, the Respondent expended 854,710 man hours of labour in excess of that which had been forecast on the approved baseline program.

29 This figure will be adjusted to take into account indirect labour costs and costs associated with variations to reflect the ultimate disruption experienced by the Respondent. This assessment is currently ongoing and will be addressed in greater detail in witness statements and expert evidence, in due course.

III. APPROVED BASELINE PROGRAM

30 Clause 8.3 of the Contract stipulates:

The Contractor shall submit a detailed time program to the Engineer within 28 days after receiving the notice under Subclause 8.1 [Commencement of Works]. The Contractor shall also submit a revised program whenever the previous program is inconsistent with actual progress or with the contractors obligations. Each program shall include:

- (a) the order in which the contractor intends to carry out the works, including the anticipated timing of each stage of design (if any). Contractor's documents, procurement, manufacture of plant, delivery to site, construction, erection and testing.*
- (b) each of these stages for work by each nominated subcontractor (as defined in Clause 5).*
- (c) the sequence and timing of inspections and tests specified in the contract, and*
- (d) a supporting report which includes:*

- i. a general description of the methods which the contractor intends to adopt, and of the major stages, in the execution of the works, and
- ii. *details showing the Contractors reasonable estimate of the number of each class of contractors personnel and each type of Contractor's Equipment required on site for each major stage."*

31 The Particular Conditions have added the following to Clause 8.3:

"The contractor shall proceed in accordance with the program after obtaining the engineer's consent, subject to his other obligations under the contract."

32 On 20 December 2015, the Respondent submitted baseline program 03.¹

33 On 30 December 2015 the Engineer duly approved baseline program rev.03 as the baseline program in terms of Clause 8.3 of the Contract.²

34 In terms of the Contract, until replaced by a revised program, all delay claims are to be assessed against the approved baseline program which was baseline program rev. 03.

IV. ADDENDUM NO.1

Claimant's and Engineer's Maladministration of the Contract and Frustration of the Extension of Time Provisions

35 Clause 8.4 of the Contract as read with Clause 20.1 thereof entitles the Respondent to seek extensions to the Time for Completion in , *inter alia*, circumstances including:

35.1 In the case of variations or substantial changes in quantity;

35.2 Unforeseeable shortages in the availability of goods caused by epidemic of governmental action;

¹ Exhibit R-140 – Transmittal No. AQ5AQ6-SPQ-MED-DT--0070; Exhibit R-141 – Baseline program Rev. 04.

² Exhibit R-142 – Submittal Review dated 30 December 2015.

- 35.3 Any delay, impediment or prevention caused by or attributable to the Respondent, the Claimant, the Claimant's personnel or the Claimant's other contractors on the site.
- 36 In terms of Clause 20.1 of the Contract, in the event that the Respondent delivers a request for an extension of the Time for Completion and payment of additional compensation, the Engineer is required to respond to the application within 42 days with approval, or with disapproval and detailed comments. The Contract stipulates that:
- "The Engineer shall proceed in accordance with sub-clause 3.5 [Determination] to agree or determine (i) the extension (if any) of the Time for Completion (before or after its expiry) in accordance with sub-clause 8.4 [Extension of Time for Completion] and/or (ii) the additional payment (if any) to which the Contractor is entitled under the Contract."*
- 37 In terms clause 20.1 as amended by the Particular Conditions:
- "The Engineer's determination shall be based on the effect of each Employer Delay Even applied to the accepted monthly programme update current at the time the Employer Delay even Occurred using Time Impact Analysis method"*
- 38 Clause 3.5 stipulates that where the Engineer is required to determine any matter (including an application for an extension of time under Clause 20.1) *"the Engineer shall consult with each Party in an endeavour to reach agreement. If agreement is not achieved, the Engineer shall make a fair determination in accordance to the Contract taking due regard of all relevant circumstances."*
- 39 Clause 3.1 which sets out the Engineer's duties and authorities was amended in the Particular Conditions by the addition of the following:
- "Notwithstanding the foregoing, unless the Contractor receives written notice from the Employer of authority (with or without limitations) delegated to the Engineer, the Engineer is required to obtain the written approval of the Employer before authorising any instruction that constitutes a variation, instructing Provisional Sums, instructing*

work to be executed on a Day work basis or making any determination with respect Time for Completion or additional payment.”

40 Against this contractual background, and on 5 January 2017, the Respondent submitted an application in terms of Clause 8.4 of the Contract for a revision to the Time for Completion to 19 March 2019.³ The Respondent clarified queries raised by the Engineer by way of a further letter dated 23 March 2017.⁴

41 The Engineer responded to the request for a revision of the Time for Completion by letter dated 29 January 2017. In that letter the Engineer stated “*however, after careful reviewed of your letter, SPQ should note that this submission is rejected and no Extension of time of any kind shall be granted under the said circumstances SPQ have claimed for.*”⁵ The Engineer thus summarily rejected the application in terms of clause 8.4, made no effort to comply with its obligations under clause 3.5 and made no effort to undertake a time impact analysis as it was obliged to have done.

42 In a further response to this, the Engineer sought to invoke the time barring provisions of Clause 20.1 and contended that the Respondent had failed to deliver its extension of time claim within the time periods prescribed by Clause 20.1.⁶ The Respondent addressed a further letter to the Engineer dated 1 June 2017, and again requested the Engineer to provide an assessment of its extension of time claim in accordance with the provisions of Clause 20.1 and Clause 3.5.⁷ In doing so the Engineer seemingly copy and pasted a response given by it to the Respondent on the AQ3/AQ4 project, in response to an application for revision for the Time for Completion on that project, illustrating that there was no independent assessment of the merits of the Respondent’s request and that the Engineer did not comply with the obligations imposed upon it by the Contract when assessing requests for revisions to the Time for Completion.

3 Exhibit R-18 – Respondent’s letter dated 5 January 2017 - ref: AQ5AQ6-SPQ-MED-GEN-LET-0298.

4 Exhibit R-143 – Respondent’s letter dated 23 March 2017 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0356.

5 Exhibit R-144 – Engineer’s letter dated 29 January 2017 – ref: AQ5AQ6-MED-SPQ-LET-0286.⁰²⁸⁶

6 Exhibit R-145 – Engineer’s letter of 26 April 2017 – ref: AQ5AQ6-MED-SPQ-LET-0286.⁰³⁶¹

7 Exhibit R-146 – Respondent’s letter dated 1 June 2017 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0418.

- 43 The Engineer provided no detailed assessment of the claim and failed to provide any detailed comments as required by Clause 20.1 of the Contract.
- 44 On 20 June 2017, the Respondent delivered a second application for revision of the Time for Completion, to 21 July 2019.⁸
- 45 The Engineer responded by letter dated 2 August 2017 in which the claims were dismissed on the basis that no events were employer risk items and even events that related to design, specification, delayed engineer approvals and revisions were construed as Contractor risk items. The claim was thus again dismissed without any effort to comply with the Engineer's obligations under clause 3.5, clause 8.4 and clause 20.1 of the Contract.⁹
- 46 The Respondent addressed the queries raised by the Engineer and provided additional updated information by way of a further letter to the Engineer dated 13 August 2017.¹⁰
- 47 The Engineer persisted with its refusal to formally determine the claim or to provide the details of such determination as required by Clause 20.1. Instead the Engineer wrote to the Respondent on 12 September 2017 stating:

"The contractor continued to force out claim which is not acceptable, the contractor claim that the civil code supersede the agreed project contract is unruly and unprofessional, this poor justification by contractor has resulted in creating many other problems on the project including the project end day which is caused by your inconsistent and poor issues analysing skills, even more disturbing is the fact that, despite having already expressed our concerns to you regarding these substandard performance issues, there has not been any attempt on your part to improve your performance."¹¹

⁸ Exhibit R-19 – Respondent's letter dated 20 June 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0438.

⁹ Exhibit R-147– Engineer's letter dated 2 August 2017 – ref: AQ5AQ6-KER-SPQ-LET-0457.

¹⁰ Exhibit R-148 – Respondent's letter dated 13 August 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0494.

¹¹ Exhibit R-149 – Engineer's letter dated 12 September 2017 – ref: AQ5AQ6-KER-SPQ-LET-0488.

48 Again the Engineer simply copied a response issued by it to the Respondent in response to an application for a revision to the Time for Completion on the AQ3/AQ4 project, without in any way separately assessing the merit of the claim made by the Respondent on this project.

49 The Engineer went on to again make no determination and asked the Respondent to review and reevaluate its claims.

50 The Respondent replied by letter dated 4 October 2017.¹² The Respondent pointed out the deficiencies in the Engineer's response and again requested a fair and reasonable assessment of its extension of time claim in accordance with the provisions of Clause 20.1 of the Contract. In this regard the Respondent stated:

"...request that an accurate and impartial assessment be undertaken in accordance with the Contract. SPQ requires your urgent attention to the aforementioned including issuance of your detailed TIA as per the Contract TIA."

51 The Engineer failed to respond to this.

52 On 15 March 2018, the Respondent delivered a third request for a revision to the Time for Completion, requesting a revision of the date to 30 December 2019, on the basis of a detailed time impact assessment provided.¹³

53 On 9 October 2018 the Engineer responded, advising that it was of the view that the information provided in the extension of time claim was not sufficiently up to date and therefore refused to assess the extension of time claim, requiring the Respondent to resubmit the claim.¹⁴ In doing so, the Engineer stated *"SPQ extension of time shall not be considered, granted approval or any further review at this time"*. The Engineer therefore expressly refused to comply with its obligations under the Contract. The Engineer again copied correspondence addressed to the Respondent on the AQ3/AQ4.

¹² Exhibit R-150 – Respondent's letter dated 4 October 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0538.

¹³ Exhibit R-151 – Respondent's letter dated 15 March 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0691.

¹⁴ Exhibit R-21 – Engineer's letter dated 9 October 2018 – ref: AQ5AQ6-KER-SPQ-LET-0708.

54 The Respondent replied to the Engineer on 11 October 2018¹⁵, in which it tabulated the history of its various requests for a revision of the Time for Completion again requested the Engineer to discharge its obligations under Clause 20.1 and Clause 3.5 and to fairly assess the extension of time claims. Again the Engineer simply copied correspondence addressed by it to the Respondent on the AQ3/AQ4 project.

55 On 13 October 2018 the Engineer responded.¹⁶ In doing so the Engineer stated "*it is very irrational and unethical for your office to reply to an official letter using illogical and unreasonable as key words...*

Kernel is not in state of holding SPQ EOT if valid, as a result of your response, conclusions are underway to phase out this EOT 3 based consultation with client and final assessment."

56 The Respondent replied to the Engineer on 17 October 2018.¹⁷ In doing so:

56.1 The Respondent expressed its frustration that 6.5 months had lapsed since the date of its extension of time submissions without any assessment being provided;

56.2 The Respondent recorded that a detailed time impact analysis had been performed using the approved baseline and that the Engineer was obliged to assess this.

57 On 12 December 2018, the Engineer wrote to the Respondent advising that "*it is understandable that the Contractor already requested for extension of time (EOT) which is currently under observation by the Employer*".¹⁸ The Engineer thus made it clear that it was not independently determining the Respondent's extension of time claims but that it was doing so in accordance with instructions from the Claimant. Furthermore, the Engineer now accepted that the Respondent is entitled to an

¹⁵ Exhibit R-152 – Respondent's letter dated 11 October 2018 – ref: AQ5AQ6-SQP-KER-GEN-LET-0837.

¹⁶ Exhibit R-22 – Engineer's letter dated 13 October 2018 – ref: AQ5AQ6-KER-SQP-LET-0711.

¹⁷ Exhibit R-153– Respondent's letter dated 17 October 2018 – ref: AQ5AQ6-SQP-KER-GEN-LET-0845.

¹⁸ Exhibit R-12 – Engineer's letter dated 12 December 2018 – ref: AQ5AQ6-KER-SQP-LET-0741.

extension of time and a revision to the Time for Completion but that this would only happen according to the Claimant's instruction.

58 On 5 June 2017, whilst the Respondent was submitting its extension of time claims and the Claimant and its Engineer were refusing to make any determinations, the diplomatic blockade of Qatar was imposed by various countries in the Middle East and North Africa. This will be addressed in greater detail in the context of the Respondent's claims for a revision of the Time for Completion and payment of prolongation costs but the Respondent highlights the following:

58.1 The diplomatic blockade had a material impact on procurement, particularly of long-lead items and MEP materials;

58.2 As a consequence, the Respondent incurred costs to implement alternative procurement strategies and notified the Engineer of the delays and costs which would result from the blockade;

58.3 On 10 June 2017, the Respondent issued a force majeure notice to the Engineer, in response to the commencement and imposition of the diplomatic blockade.¹⁹

58.4 On 24 June 2017, following various correspondence, the Engineer wrote to the Respondent and stipulated that 85% procurement ought to have taken place before the diplomatic blockade commenced and demanded an action plan for alternative procurement;²⁰

58.5 The Respondent replied on 3 June 2017 explaining in detail why the Engineer's understanding of the position was simply incorrect.²¹

59 Consequently, in addition to the prejudice being suffered by the Respondent by the Engineer and the Claimant's refusal to determine any extension of time claims or to pay any prolongation costs, the Respondent was now further prejudiced by a refusal

¹⁹ Exhibit R-154 – Respondent's letter dated 10 June 2017 – ref: AQ5AQ6-SQP-MED-GEN-LET-0430.

²⁰ Exhibit R-155– Engineer's letter dated 24 June 2017 – ref: AQ5AQ6-KER-SQP-LET-0426.

²¹ Exhibit R-156 – Respondent's letter dated 3 July 2017 – ref: AQ5AQ6-KER-GEN-LET-0449.

to acknowledge the material impact on procurement for the project by an event that was clearly not of the Respondent's making and could not have been foreseen.

60 In further frustrating the Respondent's efforts to bring the work to completion, the Engineer refused to acknowledge any impact of the diplomatic blockade. By way of example:

60.1 On 21 October 2017, the Engineer stated that any additional payments and time extensions would not be accepted because transportation of material to site is a contractor obligation;²²

60.2 On 3 December 2017, the Engineer wrote to the Respondent advising that "*material procurement business is between the contractor and the supplier*" and that the Claimant would not be held liable for any additional cost or time delays incurred by virtue of the alternative procurement strategies which had to be adopted.²³

Negotiations for Additional Funding and Time

61 By the beginning of 2019:

61.1 The Respondent had established a right to a revision of the Time for Completion to 30 September 2019;

61.2 The Respondent had incurred prolongation costs of QAR 83.89 million;

61.3 The Respondent was owed QAR 101.45 million for variations.

62 The Respondent sought actively to engage with the Claimant regarding the impact of the delay claims not being assessed, variations not being paid and the prejudice which it would cause to the project. In the course of those discussions, the Claimant's representatives agreed to provide an interest free loan of QAR 100 million for each

²² Exhibit R-157 – Engineer's letter dated 21 October 2017 – ref: AQ5AQ6-KER-SQP-LET-0520 and Exhibit R-158 - ref: AQ5AQ6-KER-SQP-LET-0521.

²³ Exhibit R-159 – Engineer's letter dated 3 December 2017 – ref: AQ5AQ6-KER-SQP-LET-0541, Exhibit R-160 - Engineer's letter - ref: AQ5AQ6-KER-SQP-LET-0544 and Exhibit R-161 - Engineer's letter - ref: AQ5AQ6-KER-SQP-LET-0545.

project (that is QAR100 million loan for the AQ3AQ4 project and QAR100 million loan for the AQ5AQ6 project) on the basis of a corporate guarantee underwriting the loan being provided by the Respondent's holding company in India.

63 This appears from and is documented in the Respondent's internal correspondence dated 2 August 2018.²⁴ At the same time, the Respondent prepared a draft letter of guarantee to be addressed to the Claimant's shareholder and prepared schedules for cash flow analysis.²⁵

64 However, the QAR 100 million which had been discussed and contemplated was not forthcoming. After numerous follow ups and requests, meetings were ultimately convened in the course of January 2019.

65 After numerous requests on the part of the Respondent, a meeting was held on 6 January 2019. At that meeting:

65.1 The Respondent was represented by Mr M D Saini and Mr Rajeev Kaul;

65.2 The Claimant was represented by Mr Ali Shareef Al Emadi, Mr Abdul Rahman and Mr Medhat Saleem;

65.3 The Claimant's representatives advised that they would agree to an extension of time to 30 June 2019 and to payment of variations of QAR 20 million, notwithstanding the entitlement which had been established by the Respondent;

65.4 The Respondent's representatives objected given the extent of their entitlement and demanded that the extension of time claims and variation claims be properly assessed.

66 A further meeting was convened on 7 January 2019, attended on behalf of the Claimant by Mr Abdul Rahman. The Respondent's representatives again requested a

24 [Exhibit R-348](#)
~~Exhibit R-28~~ – Email from Mr Sathyanarayana Setty to various persons within the Shapoorji organisation, attaching a draft loan agreement.

25 [Exhibit R-349](#)
~~Exhibit R-29~~ – Internal correspondence of the Respondent dated 2 August 2018 from Mr Sathyanarayana Setty to Christy Johann and ~~Exhibit R-30~~ - Internal correspondence of Respondent dated 4 August 2018 from Mr Sathyanarayana Setty to Mr Rajeev Kaul. - [Exhibit R-350](#)

proper and fair review of its claims for extensions of time and variations, highlighting the cashflow difficulties which it was experiencing and requested the Claimant to consider advance payments in order to resolve cashflow difficulties.

67 On 15 January 2019, the Respondent wrote to the Claimant, again requesting a fair consideration of its claims and requesting the Claimant to consider advance payments or interest free loans.²⁶ In that letter, Mr Saini, on behalf of the Respondent, highlighted the following:

67.1 With respect to the variations and changes in the project, he stated

"at this moment we want to highlight the fact that the project was taken at a very low price, almost par at cost to meet the clients budget requirements, and with all the changes happening during execution has led to additional works and delays in overall completion incurring additional costs for both us and our subcontractors.

The magnitude of additional works and the corresponding costs are huge, putting us in dire losses and in addition several claims from the subcontractors."

67.2 In relation to the Respondent's claims, Mr Saini stated *"at this juncture we submit our request that the submitted variations may kindly be relooked at through your good offices on a fair and considerate basis."*

67.3 In the context of the discussions which had been held to date, Mr Saini stated *"may we in the meanwhile and in order to complete the project at the earliest possible, humbly request your good self to issue us extension of time to end of July 2019 and an advance loan amount of QAR 50 million, which can be recovered from our balance payments".*

26 [Exhibit R-351](#)
Exhibit R-31 – Respondent's letter addressed to His Excellency, Ali Shareef Al Emadi, dated 15 January 2019.

68 On 20 January 2019, Mr Ali Shareef Al Emadi, on behalf of the Claimant, wrote to the Respondent and undertook to provide cash loan from Mr Al Emadi's personal finances.²⁷

69 Mr Saini responded on behalf of the Respondent to Mr Al Emadi by letter dated 27 January 2019.²⁸ In that letter, Mr Saini again emphasised the need for a fair assessment of extensions of time and requested an advance loan in the near future, which could be recovered on an agreed instalment schedule from project proceed.

70 In or about February 2019, the Claimant presented the Respondent with Addendum No.1 in which it would agree to payment of compensation for variations in the amount of QAR10 million and an extension of time until 15 July 2019. The Respondent objected thereto.

71 The Claimant's representatives advised that the signature of the addendum on those terms would be required in order to loan finance in order to fund the Respondent. At this point, the Claimant's representatives undertook to secure additional funding of QAR 135 million, provided the addendum is signed. In order to give effect thereto, the Respondent prepared a draft loan agreement, providing for a loan of QAR 135 million, together with proposed payment terms. The draft loan agreement was provided to the Claimant's representatives for their comment. That draft was returned to the Respondent by the Claimant's project director, Mr Medhat Saleem, with handwritten annotations, proposing revision to the repayment terms.²⁹

72 Consequently, the Respondent was faced with the option of agreeing to the terms of the addendum which would in turn secure:

72.1 An interest free loan of QAR 135 million;

72.2 Advance payments and accelerated payments;

27 [Exhibit R-352](#)
Exhibit R-32 – Letter from Mr Ali Shareef Al Emadi dated 20 January 2019.

28 [Exhibit R-353](#)
Exhibit R-33 – Respondent's letter to Mr Al Emadi dated 27 January 2019.

29 [Exhibit R-354](#)
Exhibit R-301 – Draft loan agreement with handwritten annotations received from the Claimant.

- 72.3 Additional extensions of time to be agreed in conjunction with the master developer.
- 73 It is against this background that the Respondent executed Addendum No.1 on 18 February 2019.
- 74 Subsequent to the conclusion of the addendum:
- 74.1 Claimant provided loan finance of QAR 33.5 million in August 2019, substantially later than what had originally been promised, and which loan has in any event been almost fully repaid.
- 74.2 The promised loan of QAR 135 million never materialised;
- 74.3 No accelerated or advance payments were provided;
- 74.4 No further extensions of time were agreed or allowed.

Conclusions and Relief Sought

- 75 Article 172 of the Qatar Civil Code stipulates:
- "(1) The contract shall be executed according to its provisions and in a way compatible with the requirements of good faith.*
- (2) The contract shall not be confined to committing the contracting parties to its contents, but shall also deal with its requisites pursuant to the law, customs and justice according to the nature of the obligation."*
- 76 The Claimant and the Engineer, in bad faith, intentionally frustrated the workings of the extension of time provisions such that the Respondent was denied its entitlement to a revision of the Time for Completion or payment of prolongation costs. In doing so, the Claimant and the Engineer intentionally frustrated the operation of the Contract and placed the Respondent in financial distress by forcing it to finance the prolonged contract period. Consequently, the Claimant was in breach of its good faith obligations prescribed by Article 172.

77 Article 134 of the Qatar Civil Code stipulates:

" (1) Nullifying the contract for fraudulence may be requested by the person who has given his consent as a result of subterfuge directed to him in order to deceive and drive him to conclude the contract if he proves that he would not have agreed to the contract if he had not been deceived by such subterfuge.

(2) Lying in giving information concerning the facts of the contract and its surrounding circumstances or keeping silent about them shall be regarded as subterfuge."

78 The Respondent contends that Addendum No.1 was executed:

78.1 On the strength of material representations and undertakings made by the Claimant's representatives regarding funding and extensions of time;

78.2 The Respondent would not have entered into the Addendum No.1 but for the material representations and undertakings given by the Claimant's representatives which induced the conclusion of Addendum No.1;

78.3 Consequently, the addendum was induced by intentional misrepresentation on the part of the Claimant, alternatively negligent misrepresentation and falls to be set aside.

79 Consequently, and in accordance with Article 134 of the Civil Code, the addendum should be nullified by the Tribunal and set aside.

80 Moreover, the Respondent contends that because the addendum was presented to the Respondent as a *fait accompli* without any opportunity to amend the addendum, the addendum constitutes a contract of adhesion within the meaning of Article 106 of the Qatar Civil Code.

81 Article 105 of the Qatar Civil Code stipulates:

"Conceding to a draft contract already designed by the offeror for all his customers shall not preclude the conclusion of the contract in adhesion by one of its parties to the will of the other without discussing its conditions".

82 Article 106 of the Qatar Civil Code stipulates:

"If the contract is concluded by adhesion and contained arbitrary conditions, the judge may, at the request of the adhering party, amend such conditions in a way removing the unfairness or exempting from the same as prescribed by justice. Any agreement otherwise shall be considered void."

83 Article 107 of the Qatar Civil Code stipulates that:

"In the adhesion contracts, the doubt shall be interpreted in favour of the adhering party, whether creditor or debtor."

84 Addendum No.1 contained arbitrary conditions in that:

84.1 It allowed payment of compensation for variations in lieu of a variations claim which the Respondent enjoyed in excess of QAR 80 million;

84.2 It sought to impose an extension of time for the Time for Completion until 15 July 2019 whereas the Respondent had already established an extension of time entitlement to September 2020.

85 Article 140 of the Qatar Civil Code stipulates:

"If one person exploits in another urgency, a plain frivolity, an evident weakness, an indomitable passion or his moral dominance and makes him conclude a contract in his own or another person's favour that involves at the time of conclusion an exorbitant imbalance between the obligations he shall perform and the material or moral benefit he shall obtain from the contract, the Judge may, at the request of a party victimised by exploitation, reduce his obligations, increase the obligations of the other party or nullify the contract."

86 The Respondent contends that:

86.1 The Claimant and the Engineer intentionally, and in bad faith administered the Contract in a way intended to frustrate the extension of time provisions of the Contract, thereby putting the Respondent under financial distress;

- 86.2 Exploited the consequent financial distress of the Respondent to force it to enter into the Addendum No.1 on the strength of false representations and promises;
- 86.3 Created a contractual position where there was a substantial imbalance between the benefits afforded to the Respondent under Addendum No.1 versus the entitlements which it had established under the Contract.
- 87 Accordingly, the Respondent contends that the addendum should be nullified by the Tribunal in accordance with the provisions of Article 140 of the Qatar Civil Code.
- 88 Consequently, the Respondent contends that the Tribunal is empowered and must:
- 88.1 In accordance with Article 140 nullify the addendum and set it aside;
- 88.2 Alternatively, in accordance with Article 106 set aside the addendum, alternatively, adjust the terms of the addendum to reflect an extension of time which is consistent with the Respondent's entitlement at the time that the addendum was concluded;
- 88.3 In terms of Article 140 nullify the Addendum No.1;
- 88.4 Determine that the Claimant conducted itself in bad faith, in breach of its obligations under Article 172 and declare the Addendum No.1 not binding upon the parties.

V. RESPONDENT'S EXTENSION OF TIME CLAIMS

Contractual Provisions Governing Extensions of Time

- 89 Clause 8.4 of the Contract stipulates:

"Extension of Time for The Contractor shall be entitled subject to Sub-clause 20.1 [Contractor's Claims] to Completion an extension of the Time for Completion if and to the extent that completion for the purposes of Sub-Clause 10.1 [Taking Over of the Works and Sections] is or will be delayed by any of the following causes:

- (a) *a Variation (unless an adjustment to the Time for Completion has been agreed under Sub-Clause 13.3 [Variation Procedure]) or other substantial change in the quantity of an item of work included in the Contract,*
- (b) *a cause of delay giving an entitlement to extension of time under a Sub-Clause of these Conditions,*
- (c) *exceptionally adverse climatic conditions,*
- (d) *Unforeseeable shortages in the availability of personnel or Goods caused by epidemic or governmental actions, or*
- (e) *any delay, impediment or prevention caused by or attributable to the Employer, the Employer's Personnel, or the Employer's other contractors on the Site.*

If the Contractor considers himself to be entitled to an extension of the Time for Completion, the Contractor shall give notice to the Engineer in accordance with Sub-Clause 20.1 [Contractor's Claims]. When determining each extension of time under Sub-Clause 20.1, the Engineer shall review previous determinations and may increase, but shall not decrease, the total extension of time."

90 Clause 8.4 of the Contract was amended through the Particular Conditions by the addition of the following:

"The Engineer's determination shall be based on the effect of each Employer Delay Event applied to the accepted monthly program updated current at the time the Employer Delay Event occurred using Time Impact Analysis method.

When an Employer Delay Event occurs during a period of delay for which there is no entitlement to an extension of Time for Completion, such determination shall be made using the Net Method.

The Contractor shall not be entitled to an extension of Time for Completion if completion is delayed by a nominated subcontractor (refer sub-clause 4.4 [Subcontractors])."

91 Clause 20.1 of the Contract stipulates:

"Contractor's Claims

If the Contractor considers himself to be entitled to any extension of the Time for Completion and/or any additional payment, under any Clause of these Conditions or otherwise in connection with the Contract, the Contractor shall give notice to the Engineer, describing the event or circumstance giving rise to the claim. The notice shall be given as soon as practicable, and not later than 28 days after the Contractor became aware, or should have become aware, of the event or circumstance.

If the Contractor fails to give notice of a claim within such period of 28 days, the Time for Completion shall not be extended, the Contractor shall not be entitled to additional payment, and the Employer shall be discharged from all liability in connection with the claim. Otherwise, the following provisions of this Sub-Clause shall apply.

The Contractor shall also submit any other notices which are required by the Contract, and supporting particulars for the claim, all as relevant to such event or circumstance.

The Contractor shall keep such contemporary records as may be necessary to substantiate any claim, either on the Site or at another location acceptable to the Engineer. Without admitting the Employer's liability, the Engineer may, after receiving any notice under this Sub-Clause, monitor the record-keeping and/or instruct the Contractor to keep further contemporary records. The Contractor shall permit the Engineer to inspect all these records, and shall (if instructed) submit copies to the Engineer.

Within 42 days after the Contractor became aware (or should have become aware) of the event or circumstance giving rise to the claim, or within such other period as may be proposed by the Contractor and approved by the Engineer, the Contractor shall send to the Engineer a fully detailed claim which includes full supporting particulars of the basis of the claim and of the extension of time and/or additional payment claimed.

If the event or circumstance giving rise to the claim has a continuing effect:

- (a) this fully detailed claim shall be considered as interim;*
- (b) the Contractor shall send further interim claims at monthly intervals, giving the accumulated delay and/or amount claimed, and such further particulars as the Engineer may reasonably require; and*
- (c) the Contractor shall send a final claim within 28 days after the end of the effects*

resulting from the event or circumstance, or within such other period as may be proposed by the Contractor and approved by the Engineer.

Within 42 days after receiving a claim or any further particulars supporting a previous claim, or within such other period as may be proposed by the Engineer and approved by the Contractor, the Engineer shall respond with approval, or with disapproval and detailed comments. He may also request any necessary further particulars, but shall nevertheless give his response on the principles of the claim within such time.

Each Payment Certificate shall include such amounts for any claim as have been reasonably substantiated as due under the relevant provision of the Contract. Unless and until the particulars supplied are sufficient to substantiate the whole of the claim, the Contractor shall only be entitled to payment for such part of the claim as he has been able to substantiate.

The Engineer shall proceed in accordance with Sub-Clause 3.5 [Determinations] to agree or determine (i) the extension (if any) of the Time for Completion (before or after its expiry) in accordance with Sub-Clause 8.4 [Extension of Time for Completion], and/or (ii) the additional payment (if any) to which the Contractor is entitled under the Contract.

The requirements of this Sub-Clause are in addition to those of any other Sub-Clause which may apply to a claim. If the Contractor fails to comply with this or another Sub-Clause in relation to any claim, any extension of time and/or additional payment shall take account of the extent (if any) to which the failure has prevented or prejudiced proper investigation of the claim, unless the claim is excluded under the second paragraph of this Sub-Clause."

92 Consequently, in determining the Respondent's claims for extensions of time, and in accordance with the express provisions of the Contract:

92.1 The Engineer is required to make a determination within 42 days of receipt of the claim and in doing so is obliged to give detailed comments;

92.2 Must make that determination by undertaking a Time Impact Analysis or alternatively a Net Method Analysis;

92.3 Must make that determination in accordance with the Engineer's obligations under Clause 3.5.

93 Clause 3.5 stipulates:

"Determinations

Whenever these Conditions provide that the Engineer shall proceed in accordance with this Sub-Clause 3.5 to agree or determine any matter, the Engineer shall consult with each Party in an endeavour to reach agreement. If agreement is not achieved, the Engineer shall make a fair determination in accordance with the Contract, taking due regard of all relevant circumstances.

The Engineer shall give notice to both Parties of each agreement or determination, with supporting particulars. Each Party shall give effect to each agreement or determination unless and until revised under Clause 20 [Claims, Disputes and Arbitration]."

94 Consequently, and in accordance with the express provisions of the Contract, in addition to that set out above, the Engineer is obliged to consult with both the Claimant and the Respondent to try and reach agreement and failing such agreement, the Engineer is obliged to *"make a fair determination in accordance with the contract, taking due regard of all relevant circumstances"*.

95 As appears from what has been set out above and will be further detailed below, the Engineer failed to comply with the obligations imposed upon it under the Contract in that:

95.1 It failed to undertake Time Impact Analysis in respect of any of the Respondent's extension of time claims;

95.2 It did not provide detailed comments in relation to any determination of the Respondent's extension of time claims as required by Clause 20.1;

95.3 It did not in fact make any determination at all of the extension of time claims in accordance with Clause 20.1 or Clause 3.5;

95.4 It failed to comply with its obligations under Clause 3.5.

96 Furthermore, the Engineer itself conceded that it would not make any determinations and that the Respondent's extension of time claims would be determined in accordance with the instructions of the Claimant.

97 Consequently, the Respondent, in these proceedings contends that on a proper assessment of its extension of time claims, it is entitled to an extension of time and to payment of prolongation costs. The Respondent has undertaken a provisional delay analysis based on the as-built critical path, and has provisionally determined that it is entitled to a revision of the Time for Completion to 21 March 2021. This analysis is ongoing and the Respondent expressly reserves its right to further revise the extended date for Time for Completion in accordance with such retrospective delay analysis.

98 Furthermore, the Contract is governed by the law of Qatar.³⁰ In this regard:

98.1 Article 171 of the Qatar Civil Code provides that the principle of *pacta sunt servanda* applies. However, it also stipulates:

"However, if general unforeseen and exceptional events occur and their occurrence results in rendering the implementation of contractual obligation, though not impossible, an exhausting factor that threatens the debtor with an enormous loss, the Judge shall, according to conditions of the case and after balancing the interests of the two parties, reduce the exhaustive obligation reasonably. Any agreement to the contrary shall be void."

98.2 The Contract contained express and detailed provisions for a revision of the date for completion, the Claimant and the Engineer intentionally frustrated the implementation of those provisions, such that the Respondent was not granted either a revision to the Time for Completion to which it was entitled or paid the associated prolongation costs. The consequence was that as a result of the conduct of the Claimant and the

³⁰ Clause 1.4 of the Contract as read with the Appendix to Tender.

Engineer, combined with both Employer delay events and unforeseen circumstances beyond the control of the parties, the implementation of the Contract became not impossible but posed a substantial burden on the Respondent, causing it substantial loss;

98.3 The Respondent thus contends, in the alternative, that by virtue of the unlawful conduct of the Claimant and the Engineer, it has caused time to be at large and that in accordance with Article 171 of the Qatar Civil Code, the Tribunal should reduce the exhaustive provision by granting the Respondent a reasonable time within which to complete the works and direct the Claimant to pay the Respondent prolongation costs for such extended contract period.

99 The Respondent will first set out the delay events which arose and thereafter address the retrospective delay analysis, based on the as-built critical path.

Mobica Indemnification

100 The Mobica indemnification has been addressed in the Statement of Defence in paragraphs 71 to 84, but is set out below for the benefit of the Tribunal.

101 On 3 February 2016, the Respondent addressed an email to the Claimant setting out a proposal for the wood and joinery package to be undertaken by Architectural Joinery.³¹ In terms thereof, a joinery package was proposed with a value of QAR 63,315,730.

102 On 11 April 2016, the Respondent addressed a further email to the Claimant, attaching a revised final offer from Architectural Joinery, to take into account the ironmongery.³²

31 [Exhibit R-355](#)
[Exhibit R-34](#) – Respondent's email by Harish Borah to Chandan Kamath dated 3 February 2016.

32 [Exhibit R-356](#)
[Exhibit R-35](#) – Respondent's email by Harish Borah to Chandan Kamath dated 11 April 2016.

- 103 On 16 April 2016, the Respondent addressed an email to the Claimant, providing a priced bill of quantities for the Architectural Joinery works.³³
- 104 In May 2016, the Respondent, Claimant and Engineer attended a site visit at the factory of Architectural Joinery in China, to ascertain and quality check the manufacturing processes.
- 105 On 25 June 2016, the Respondent addressed an email to the Claimant, identifying queries raised in relation to the Architectural Joinery bill of quantities.³⁴
- 106 On 20 August 2016, the Claimant issued an instruction to the Respondent to change provisional sum 6 in the bill of quantities in accordance with the provisions of Clause 13.1(h) and 13.5(a) of the Contract and advised that it had finalised a subcontract price for the wood and joinery package in the amount of QAR 45 million with Mobica directly.³⁵
- 107 On 25 August 2016, the Respondent wrote to Mobica for Integrated Industries ("Mobica"), inviting them to provide documents for purposes of concluding a subcontract for the wood and joinery packages on the project, in accordance with the Claimant's instructions.³⁶
- 108 On 27 August 2016, the Respondent wrote to the Claimant recording its objections to the appointment of Mobica by virtue of it not having been properly evaluated and the Respondent having been completely excluded in the appointment of Mobica as a subcontractor. The Respondent therefore recorded that in accordance with the provisions of Clause 5.2 of the Contract, the Claimant would have to indemnify the Respondent against and from all obligations and liability arising under and in connection with the subcontract and the subcontractors performance.³⁷

³³ [Exhibit R-357](#)
Exhibit R-36 – Respondent's email by Harish Borah to Chandan Kamath dated 16 April 2016.

³⁴ [Exhibit R-358](#)
Exhibit R-37 – Respondent's email by Harish Borah to Chandan Kamath dated 25 June 2016.

³⁵ Exhibit R-113 – Claimant's letter dated 20 August 2016 – ref: SQP/AQ5&6/2016/12.

³⁶ Exhibit R-114 – Respondent's letter to Mobica dated 25 August 2016 – ref: AQ5AQ6-SPQ-MII-GEN-LET-0001.

³⁷ Exhibit R-115 – Respondent's letter dated 27 August 2016 – ref: SPQ-AKY/011/2016/RK/037.

- 109 On 3 September 2016, the Claimant wrote to the Respondent advising that it was not appointing Mobica as a nominated subcontractor and *"urged to evaluate all parameters in line with your subcontracting requirements and raise your objections accordingly if any. Therefore, your claim is rejected and the fixed rate will be as per our contract agreement"*.³⁸
- 110 On 22 September 2016, the Claimant wrote to the Respondent confirming and advising it had accepted specific contracting terms with Mobica, contrary to the generally accepted terms for the appointment of subcontractors on the project. Those terms would include performance security by way of an undated cheque rather than a bank guarantee and an advance payment of 50% of the contract sum.³⁹
- 111 In response to objections raised by the Respondent, the Claimant reissued its letter of 22 September 2016 on 11 October 2016 in which the Claimant now stated:
- "Furthermore, we agree to indemnify Shapoorji Pallonji Qatar WLL in case they fail to recover amount limited to above terms and not covered by Bank Guarantee, which become due to them from M/s Mobica for Integrated Industries for any of their contractual default in relation to the above mentioned terms.*
- You are requested to finalise Mobica contract agreement accordingly at the earliest."*⁴⁰
- 112 On 7 November 2016 the Claimant wrote to the Respondent advising that in all previous correspondence any reference to *"Mobica for Integrated Industries"* must be replaced with a reference being *"M/s Modern Building Carpentry (Mobica)"*.⁴¹
- 113 Consequently, the exclusion contained in Clauses 4.4 and 8.4 of the Particular Conditions stipulating that the Claimant will not be liable to the Respondent for delay,

³⁸ Exhibit R-116 – Claimant's letter dated 3 September 2016 – ref: -SPQ/AQ5&6/2016/13.

³⁹ Exhibit R-117 – Claimant's letter dated 22 September 2016 – ref: -SPQ/AQ5&6/2016/14.

⁴⁰ Exhibit R-118 – Claimant's letter dated 11 October 2016 – ref: -SPQ/AQ5&6/2016/14.

⁴¹ Exhibit R-119 – Claimant's letter dated 7 November 2016 – ref: -SPQ/AQ5&6/2016/16.

loss or damage by a nominated subcontractor and that the Respondent is not entitled to an extension of time for delay by the subcontractor does not apply.

114 On a proper interpretation of the Contract documentation and the agreement between the parties, the Claimant indemnified the Respondent for any delays arising from the performance of Mobica and to the extent that any delays in the completion of the works are attributable to Mobica's deficient performance, the Claimant:

114.1 Is obliged to grant the Respondent an extension of time in respect of such delay;

114.2 Is precluded from claiming delay penalties from the Respondent over the period attributable to the Mobica delay.

Delay Events

115 The Respondent notified numerous delay events, all of which were rejected by the Engineer. The Respondent will rely upon the delay events set out in its Extension of Time Claim 11, Chapter 2 dated 12 August 2021⁴². The various delay events, the consequences of those delay events and the detail delay analysis will be further addressed in witness statements and expert evidence.

116 In addition, the Respondent will rely upon the delay events summarised below.

Excavation of Sump Pits and Footings to Required Levels

117 The Respondent noted that the existing levels of sump pits and footings (which were carried out under the scope of the enabling works contractor) did not comply with the specifications of the issued IFC drawings.

118 Consequently, it gave notice to the Engineer on 10 September 2015 of the differing levels and sought a site instruction to proceed with the required excavation works.⁴³

⁴² Exhibit R-45 – Contractor's Request for Extension of Time and Additional Costs covering period 1 June 2015 to 27 July 2021 dated 12 August 2021.

⁴³ Exhibit R-162 – Respondent's letter dated 10 September 2015 – ref: AQ5AQ6-SQP-MED-GEN-LET-0017.

119 On 25 October 2015, the Respondent advised the Engineer that the deeper excavation of the sump pits also required additional dewatering wells and confirmed that the excavation works were in progress but would require additional time and cost.⁴⁴

Change in Retaining Wall Layout

120 By virtue of the existence of a pre-existing manhole, the concrete pour which had been scheduled for Tower AQ3, Pour 4, was delayed. The Respondent wrote to the Engineer on 23 March 2016 identifying the delay and the requirement for revisions to the retaining wall layouts, and identified that this would require additional time and cost.⁴⁵

Delay in Commencement of Wooden and Joinery Work

121 The Respondent issued a request for queries to the market seeing offers for the wooden joinery work in September 2015. Offers were duly collected for a range of proposed subcontractors.

122 As has been more fully set out above:

122.1 On 20 August 2016, the Claimant instructed the Respondent to enter into a subcontract for the wooden joinery works with Mobica.⁴⁶

122.2 The Respondent documented its concerns about the fact that the ability and experience of Mobica had not been assessed, objected to the proposed payment terms for Mobica and consequently objected to the appointment of Mobica as the joinery subcontractor.

⁴⁴ Exhibit R-163 – Respondent’s letter dated 25 October 2015 – ref: AQ5AQ6-SQP-MED-GEN-LET-0036.

⁴⁵ Exhibit R-164 – Respondent’s letter dated 23 March 2016 – ref: AQ5AQ6-SQP-MED-GEN-LET-0133.

⁴⁶ Exhibit R-113 – Claimant’s letter dated 20 August 2016 – ref: SPQ/AQ5&6/2016/12.

122.3 In response, the Claimant agreed to indemnify the Respondent against any failures to perform by Mobica by way of its letter of 11 October 2016.⁴⁷

The Claimant stipulated that:

"We agree to indemnify Shapoorji Pallonji Qatar WLL in case they fail to recover amount limited to above terms and not covered by Bank Guarantee, which become due to them from M/s Mobica for Integrated Industries for any of their contractual default in relation to the above mentioned terms".

123 The works were delayed by:

123.1 The delayed appointment of Mobica as subcontractor;

123.2 Mobica's defective and delayed performance;

123.3 The supply of joinery material from Mobica's factories in Egypt by virtue of the diplomatic embargo;

123.4 The delayed performance of Mobica during the course of finishing phases.

124 Various delays and defaults experienced as a result of Mobica's appointment and their poor performance was documented through numerous notices issued by the Respondent to the Engineer and will be addressed in greater detail through witness statements and expert evidence in due course.

125 The Respondent's position is that where critical delays were incurred as a result of malperformance on the part of Mobica, the Claimant has indemnified the Respondent against such malperformance. Consequently, and in those circumstances:

125.1 the Respondent is entitled to an extension of time to the extent that the works were critically delayed by the malperformance of Mobica;

⁴⁷

Exhibit R-118 - Claimant's letter dated 11 October 2016 – ref: SPQ/AQ5&6/2016/14.

125.2 the Claimant is precluded from claiming delay damages from the Respondent as a result of delays incurred at the behest of Mobica.

Finalisation of Sanitary Wear Package

- 126 On 10 December 2015, the Respondent provided preliminary quotations received from various vendors for the sanitary wear packages.
- 127 The Engineer and the Claimant entered into negotiations with the proposed vendors and ultimately required a mock-up to be built and installed.
- 128 On 14 December 2016, the Respondent wrote to the Engineer and recorded that the delays in finalising the sanitary wear packages would lead to additional time and cost being claimed by the Respondent.⁴⁸

Delay in Receipt of QCDD Drawings

- 129 The Respondent's completion of shop drawings for the MEP works were delayed by the late receipt of the QCDD approved shop drawings.
- 130 The QCDD approved drawings were issued by the Engineer on 25 February 2017, 8 months after project commencement.
- 131 On 25 February 2016, the Engineer issued the QCDD approved drawings for the fire alarm, central batteries, fire protection and HVAC.⁴⁹
- 132 On 22 March 2016, the Respondent issued a further notice of delay.⁵⁰

Delays in MEP Design

- 133 On 24 August 2016, the Engineer issued IFC drawings revision 11.⁵¹

⁴⁸ Exhibit R-165 – Respondent's letter dated 14 December 2016 – ref: AQ5AQ6-SQP-MED-GEN-LET-0288.

⁴⁹ Exhibit R-166 – Claimant's letter dated 25 February 2016 – ref: AQ5AQ6-MED-SQP-LET-0096.

⁵⁰ Exhibit R-167 – Respondent's letter dated 22 March 2016 – ref: AQ5AQ6-SQP-MED-GEN-LET-0131.

⁵¹ Exhibit R-168 – Claimant's letter dated 24 August 2016 – ref: AQ5AQ6-MED-SQP-LET-0182.

134 On 2 October 2016 the Respondent wrote to the Engineer recording that there were substantial changes in the MEP design and outstanding information for the MEP design and gave notice of delay.⁵²

135 The MEP design issues and delayed confirmation of design specifications endured from 16 August 2016 to 20 September 2020 and will be addressed in greater detail in witness statements and expert evidence. This was addressed in ongoing correspondence between the Respondent and the Engineer.⁵³

Diplomatic Embargo

136 On 5 June 2017, countries in the Middle East and North Africa, led by Saudi Arabia, imposed an economic blockade on Qatar suspending all traffic to Qatar involving the boundaries of, *inter alia*, Saudi Arabia, United Arab Emirates, Bahrain and Egypt.

137 On 10 June 2017, the Respondent notified the Engineer of the effect of the economic blockade and in particular, the effect on procurement of long-lead items and MEP materials and further gave notice of *force majeure* event.⁵⁴

138 Diplomatic embargo falls squarely within the provisions of clause 8.4 of the Contract which stipulates that the Respondent is entitled to an extension of time when the cause of delay is “*unforeseeable shortages in the availability of ... goods caused by ... governmental actions*”.

139 Moreover, it is also covered by the definition of a force majeure event in clause 19 of the Contract which stipulates that a force majeure event arises when:

“*an exceptional event or circumstance:*

- (a) *which is beyond a parties control;*
- (b) *which such party could not reasonably have provided against before entering into the contract;*

⁵² Exhibit R-169 – Respondent’s letter dated 2 October 2016 – ref: AQ5AQ6SQP-MED-GEN-LET-0244.

⁵³ ~~Exhibit R-XX~~ ^{Exhibit R-359} – Log of correspondence between the Respondent and the Engineer regarding delayed MEP design issues.

⁵⁴ Exhibit R-154 – Respondent’s letter dated 10 June 2017 – ref: AQ5AQ6-SQP-MED-GEN-LET-0430

- (c) *which, having arisen, such party could not have reasonably have avoided or overcome; and*
- (d) *which is not substantially attributable to the other party".*

140 The diplomatic embargo has also been recognised by the Qatar Courts as constituting a force majeure event justifying an exoneration of liability or justifying delayed performance.

Covid-19 Pandemic and Government Lockdown

141 In March 2020, the government of Qatar imposed restrictions on the movement of manpower and materials, including the closure of certain areas of the industrial region, in response to the Covid-19 outbreak and worldwide pandemic.

142 On 15 March 2020, the Respondent wrote to the Engineer and indicated that it anticipated delays in consequence of the government regulations.⁵⁵

143 Consequences of the Covid-19 pandemic fall squarely within the provisions of clause 8.4(d) (renumbered as sub-paragraph (c) in the Particular Conditions) which stipulate that the Respondent is entitled to an extension of time in the case of "*unforeseeable shortages and availability of personnel or goods caused by epidemic or governmental actions*". The governmental lockdown entailed restrictions on personnel imposed by governmental actions and consequently caused delays to the works. This is also supported by Article 188 of the Qatar Civil Code, which stipulates that:

"Where such impossibility is partial the Obligee may either enforce the contract to the extent that such part of the obligation can be performed or demand termination of the contract."

144 The Respondent did not demand termination of the contract but performed the contract albeit delayed as a consequence of the government action.

145 Government lockdown and restrictions on manpower had material impacts on the works at site. This included:

⁵⁵ Exhibit R-170 – Respondent's letter dated 15 March 2020 – ref: AQ5AQ6-SPQ-KER-GEN-LET-1091.

- 145.1 material required for a variety of works and the manpower for the installation of these works remained in the industrial area due to the government imposed lockdown;
- 145.2 various delays in the finishes were experienced including but not limited to landscaping, wooden doors and joinery, marble floors, wall works, marble vanities, bath tubs, louvers, metal works and manpower deployment for works such as handrails, testing of ELV works, fire alarms and the building management system.

Retrospective Delay Analysis

- 146 The Respondent has undertaken a retrospective delay analysis based on the as-built critical path. The analysis is done as a time-slice analysis, comprising of five windows. Each window terminates when the as-built critical path changes to another component of the works. The five windows, their periods, the critical path in that period and the delay events applicable to those periods are set out below:

Window 1: 1 June 2015 – 18 July 2016

- 147 During Window 1 the critical path moved through mobilisation, design approvals and the substructure. During this period the approved program contemplated the following works:

- 147.1 Project mobilisation;
- 147.2 The substructure and completion of raft foundations and basement. In the case of Tower AQ3 that covered a period from 21 July 2015 to 30 July 2016. In the case of Tower AQ4 it covered the period 15 August 2015 to 20 June 2016.

- 148 Delays were experienced as a result of:

- 148.1 The Engineer's delays in finalising FCs;
- 148.2 Delays in finalising shop drawing submissions and approvals;

- 148.3 A late start to the concrete pour for the raft and the subsequent superstructure installation;
- 148.4 The slower than planned superstructure installation.
- 149 However, the Respondent mitigated the delays experienced by commencing the MEP works 66 days ahead of the planned commencement of MEP works.
- 150 Consequently, at the end of Window 1 the works were 23 days ahead of the planned program.

Window 2: 18 July 2016 – 8 August 2018

- 151 During Window 2 the critical path ran throughout the MEP installation. During this window, over the period 18 July 2016 to 8 July 2017 the following delays were experienced:
- 151.1 Delays in the finalisation of the MEP specifications by the Engineer;
- 151.2 Revised IFC drawings issued for the MEP by the Engineer, revising and changing MEP layouts;
- 151.3 Slower than expected MEP clearances from the Engineer;
- 151.4 Delayed approval by the Claimant and the Engineer of socket and final electrical layouts, resulting in delayed sign-off of electrical installations;
- 151.5 Continual revision of RCP layouts.
- 152 During this window over the period 8 July 2017 to 8 August 2018 the following delay events were experienced:
- 152.1 The commencement of the diplomatic blockade of Qatar and continued delay to materials and MEP materials arising from the diplomatic blockade of Qatar;
- 152.2 Design changes to the MEP/RCP/ID by the Engineer and the Claimant;

- 152.3 Slower than planned MEP installation because of delayed Engineer sign off to MEP works;
- 152.4 Delayed performance by Mobica, the joinery subcontractor;
- 152.5 Delayed material supplies by Mobica out of Egypt.
- 153 In this window, during the period 8 August to 1 October 2019 the following delay events were experienced:
- 153.1 Continued delay and disruption due to the diplomatic blockade and the consequent non-availability of materials;
- 153.2 Further design changes by the Engineer and the Claimant to MEP/RCP/ID;
- 153.3 Slower than planned installation due to delayed Engineer sign off of MEP works;
- 153.4 Delayed and poor performance by Mobica, the joinery subcontractor.
- 154 During this window, the works were delayed by 346 days, consequently, the net delay of the works amounted to 602 days, after taking into account the mitigation achieved by the Respondent during Window 1. During this window, the works were delayed by 279 days. Consequently the next delay of the works amounted to 256 days, after taking into account the mitigation achieved by the Respondent during Window 1.

Window 3: 8 August 2018 – 1 October 2019

- 155 During this window the critical path ran through the internal finishes.
- 156 During this period delays were experienced as a result of:
- 156.1 Slower than planned finishes, and in particular, in the joinery works for which Mobica were responsible;
- 156.2 Delays in finalising testing and commission;
- 156.3 Ongoing design changes by the Claimant and the Engineer.

157 These delays caused further critical delay to the works of 282 days, as a result of which the works were delayed in total by 715 days.

Window 4: 1 October 2019 – 1 June 2020

158 During this window, the critical path related to the finishes, joinery and woodwork and outstanding works required for civil defence.

159 During this window, the major delay experienced:

159.1 Related to government lockdowns in response to the worldwide Covid-19 pandemic;

159.2 Slower than planned installation of the MEP works due to delayed Engineer sign off;

159.3 Poor and delayed performance by Mobica, the joinery subcontractor.

160 During this window, the works were delayed by 56 days. Consequently the net delay of the works amounted to 658 days, after taking into account the mitigation achieved by the Respondent during Window 1.

Window 5: 1 June 2020 – 1 February 2021

161 During this period the critical path related to finishes and handover of the works.

162 During this period the critical delays experienced related to:

162.1 Slower than planned finishes, particularly in relation to the joinery and the woodwork;

162.2 Non-acceptance of the apartments by the Employer and the Engineer.

163 Consequently, during this period a further delay of 197 days was experienced, culminating in a total delay of the works by 855 days.

Conclusion on Delay

164 As the Respondent has indicated, the retrospective delay analysis against the as-built critical path is ongoing and subject to revision. However, the analysis as at the date of this submission has established a critical delay of 855 days arising from Employer delay events and delay events beyond the control of the parties.

165 Consequently, the Respondent has established an entitlement to a revision of the Time for Completion to at least 2 February 2021. The Respondent will therefore seek an order from the Tribunal opening up and revising the Engineer's determinations and directing that the Time for Completion be 2 February 2021 or such later date as may be established or proved in the course of the arbitration.

VI. PROLONGATION COSTS

166 The Respondent is entitled to payment for additional costs incurred for the extended contract period, which arose from events not attributable to the Respondent. Consequently, the Respondent is entitled to claim additional overhead costs for the period of at least 903 days.

167 The Respondent is entitled to payment of prolongation costs of QAR 173,520,027.00.⁵⁶ The costs incurred include the following:

167.1 Additional site overhead expenses, amounting to QAR 59,977,841 per day;

167.2 Additional running costs for the offices and welfare at a rate of QAR 4,291 per day, amounting to a total of QAR 3,874,701.00;

167.3 Additional head office overhead expenses calculated based on actual expense of a total sum of QAR 15,185,923.00. This cost is the actual cost incurred by the head office for the project which has been derived by:

⁵⁶ [Exhibit R-360](#)
Exhibit R-302 – Summary of the build-up of the Respondent's prolongation costs.

- 167.3.1 calculating the actual head office overhead expenses for each year;
- 167.3.2 allocating a percentage of the head office overhead costs for each year to each project in the country, according to the proportionate revenue generated by each project for the year;
- 167.3.3 allocating the proportionate value of the head office overhead expenses to each project accordingly.

Consequently, the aforesaid figure is calculated with reference to the actual head office overhead expenses incurred for this project over the relevant period and with reference to the project contribution to revenue.

- 167.4 The additional costs relating to the maintenance of performance bonds and other securities of QAR 2,123,856.00;
- 167.5 No provision has at this stage been made for sub-contractors' claims. However, a number of sub-contractors have intimated possible claims and the Respondent's right to revise this component of the build-up to include sub-contractor claims in due course, is expressly reserved;
- 167.6 Finance charges of QAR 13,734,467.00. Calculated with reference to actual interest and financing costs incurred by the Respondent;
- 167.7 Loss of profit of QAR 58,058,400.00. The Respondent's loss of profit claim has been determined as follows:
 - 167.7.1 As the Respondent is one of the leading construction companies used for participation in tenders by the Qatar authorities and private developers in Qatar, the Respondent holds a number of bank facilities to fund its requirements in the country. This includes the funding of the provision of tender bond facilities of approximately QAR 200 million held at Doha Bank as well as other banking facilities in Doha;

- 167.7.2 However, when the time for completion on this project was overrun without any revisions to the time for completion, all of the Respondent's banking facilities were restricted, as the banks became concerned about their exposure to potential calls on performance bonds.
- 167.7.3 During the period 2017 to 2021, the Respondent received invitations for in excess of 30 tenders. Of those, there were at least 7 tenders, in which the Respondent participated but in which the Respondent was unsuccessful because it did not have the ability to provide the required tender bonds or other proof of financial ability, due to the contracts caused by the Claimant;⁵⁷
- 167.7.4 The Respondent's contracts generally operate at a profitability percentage of 9%, and the Respondent's loss of profit claim thus reflects its genuine loss of opportunity which arose from the Claimant's unlawful conduct and the impact which it had on the Respondent's financial position within Qatar;
- 167.7.5 In addition, the Respondent suffered losses and financial constraint because of impacts in other jurisdictions within which the Shapoorji Pallonji Group operates. In particular, Shapoorji Pallonji was involved in a large hospital development in Kuwait in which the financing bank was also Doha Bank. However, when the Claimant placed its demands upon the Respondent's performance securities, Doha Bank suspended the facilities for the hospital project in Kuwait, in order to provide security margin for the bank against the potential liquidation of the bonds in Qatar. That

in turn caused the Group a loss in Kuwait, in excess of US\$55 million;

167.7.6 The consequence of this, given that the banks regard the Group as a single economic entity, was that banking facilities were further hardened and constrained in Qatar thus rendering the Respondent's ability to be competitive in tenders negatory;

167.7.7 The Respondent has not at this stage formulated a claim for the losses suffered in other jurisdictions, but its rights to do so in due course are expressly reserved;

168 Consequently, and applying the delay of 855 days to these expenses the Respondent is entitled to payment of prolongation costs in the amount of QAR 173,520,027.00.

VII. COMPENSATION FOR COSTS OF DISRUPTION

169 As was explained in the Executive Summary, the Respondent suffered extensive disruption as a result of the Claimant and the Engineer's conduct and the Respondent is presently developing its disruption claim involving lost man hours in excess of 850,000 hours.

170 The Respondent expressly reserves the right to submit and amplify its claim for losses incurred as a result of such disruption and to address this through witness and expert evidence in due course.

VIII. RESPONDENT'S ENTITLEMENT TO COMPENSATION FOR INSTRUCTED VARIATIONS

171 Clause 13.1 of the Contract empowers the Engineer of the Claimant to initiate variations and the Respondent is bound by any instruction to carry out such variation if given prior to the Taking-Over Certificate.

172 Clause 13.1, as varied through the Particular Conditions stipulates:

"Variations may be initiated by the engineer at any time prior to issuing the Taking-Over Certificate for the works, either by an instruction or by a request for the contractor to submit a proposal.

The contractor shall execute and be bound by each variation, unless the contractor promptly gives notice to the engineer stating (with supporting particulars) that the contractor cannot readily obtain the goods required for the variation. Upon receiving this notice the engineer shall cancel, confirm or vary the instruction.

Each variation may include:

- (a) changes to the quantities of any item of work included in the contract (however such changes do not necessarily constitute a variation;*
- (b) changes to the quality and other characteristics of any item of work;*
- (c) changes to the levels, positions and/or dimensions of any part of the works;*
- (d) omission of any work subject to a maximum of 20% of the Accepted Contract Amount (without entitlement to payment to the contractor of compensation for loss of profit and overhead on the omitted work);*
- (e) any additional work, plant, materials or services necessary for the permanent works, including any associated tests on completion, bore holes and other testing and exploratory work;*
- (f) changes to the sequence or timing to the execution of the works;*
- (g) acceleration of the completion of the works or any part; or*
- (h) addition or omission of any work or works at the rates and prices specified in the contract to a value not exceeding in aggregate 20% of the Accepted Contract Amount.*

For the avoidance of doubt, the contractor shall not be entitled to a variation in differences in the quantity of any item of work required by the Drawings and/or Specification and work included in or referred to in the Bills of Quantities.

Where an item of work is required by the Drawings and/or Specification and has not been included in or referred to in the Bills of Quantities, it shall be deemed:

- i. to be an item of work that is required to execute it in the performance of the contract; and*
- ii. it may be subject to variation by omission either partially or in entirety, that shall be measured and evaluated in accordance with Clause 12."*

173 The Respondent will address each of the variation claims in turn with reference to:

173.1 The instruction to undertake the variation and what that entails;

173.2 The Respondent's notice confirming that it constitutes a variation which will attract additional cost;

173.3 The Respondent's claim;

173.4 Where applicable, the Engineer's responses.

Variation Claim No.10 - Change to Hard Landscapes

174 On 12 June 2017 the Engineer instructed the Respondent to adopt new materials for the hardscape items, following on a mock-up which was built at the instruction of the Engineer and the Claimant.⁵⁸

175 On 12 November 2017, the Respondent provided the Engineer with indicative costings of the proposed change to the material for the hardscape and requested the Engineer to issue a formal variation order.⁵⁹

176 On 12 September 2017, the Engineer issued a request for information to the Respondent to clarify the flooring material thickness, to which the Respondent duly responded.⁶⁰

⁵⁸ Exhibit R-171 – Claimant's letter dated 12 June 2017 – ref: AQ5AQ6-KER-SQP-LET-0408.

⁵⁹ Exhibit R-172 – Respondent's letter dated 12 November 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0566.

⁶⁰ Exhibit R-173 – Engineer's request for information dated 12 September 2017 – ref: AQ5AQ6-SPQ-KER-LAN-HL-RFI-0001.

177 On 14 November 2017, the Engineer issued site transmittal of shop drawings in respect of the hardscape varied requirements, thereby instructing the Respondent to proceed with the varied works. That required a change in thickness of the hardscape materials from 30mm to 50mm.

178 On 15 March 2018 the Respondent submitted its claim for payment of additional compensation and revised rates arising from the variation to the Engineer.⁶¹

179 In terms thereof, Respondent sought payment of additional compensation in the sum of QAR 2,744,569.05.

180 However, the Engineer rejected the Respondent's claim for additional compensation.⁶²

181 Consequently, the Respondent will see an order compelling the Claimant to pay to the Respondent compensation of QAR 3,143,403.36.

Variation Claim No.27 – Installation of Façade Lights

182 By letter dated 26 November 2017, the Engineer instructed the Respondent to install additional façade lights.⁶³ The Respondent notified the Engineer that the instruction constituted a variation outside the scope of the Contract and requested a formal variation instruction.⁶⁴

183 On 23 January 2018 the Engineer confirmed that the instruction constituted a variation which has been accepted.⁶⁵

184 On 30 October 2018, the Respondent submitted its claim for payment of additional compensation in the amount of QAR 8,512,055.81.⁶⁶

⁶¹ Exhibit R-174 – Respondent's letter dated 15 March 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0692.

⁶² Exhibit R-175 – Engineer's letter dated 6 August 2017 – ref: AQ5AQ6-KER-SPQ-LET-0459.

⁶³ Exhibit R-176 – Engineer's letter dated 26 November 2017 – ref: AQ5AQ6-KER-SPQ-LET-0534

⁶⁴ Exhibit R-177 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0613

⁶⁵ Exhibit R-178 – Engineer's letter dated 23 January 2018 – ref: AQ5AQ6-KER-SPQ-LET-0579

⁶⁶ Exhibit R-179 – Respondent's letter dated 30 October 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0860

185 The Engineer has failed to determine the variation claim or to certify any payment in favour of the Respondent who seeks an order compelling the Claimant to pay to the Respondent the sum of QAR8,512,055.81.

Variation Claim No.24 – Home Automation and Intercom Systems for Penthouses in Towers

186 On 23 January 2018 the Engineer issued a Notice of Variation to the Respondent confirming that the installation of home automation and intercom systems in the penthouses was beyond the original scope of the Contract.⁶⁷

187 On 15 February 2019 the Respondent notified the Engineer that the instruction constitutes a Notice of Variation in terms of the Contract and enclosed a formal notification of variation dated 11 February 2018, issued in terms of Clause 13.3 of the Contract.⁶⁸

188 On 1 April 2018, the Respondent delivered its claim for payment of additional compensation in the sum of QAR 611,948.79.⁶⁹

189 The Engineer failed to determine or to certify the variation compensation due to the Respondent.

190 The Respondent's position is that the instruction constituted a variation in terms of Clause 13, the variation was acknowledged by the Engineer, the Respondent carried out the work and is entitled to be compensated accordingly.

Variation Claim No.32 – Additional Access Control System in Level 3 of Podium

191 On 4 November 2017, the Engineer instructed the Respondent to provide access control points as marked up on the drawings received from the Claimant.⁷⁰

⁶⁷ Exhibit R-180 – Engineer's letter dated 23 January 2018 – ref: AQ5AQ6-KER-SPQ-LET-0576

⁶⁸ Exhibit R-181 – Respondent's letter dated 15 February 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0654.

⁶⁹ Exhibit R-182– Respondent's letter dated 1 April 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0709..

⁷⁰ Exhibit R-183 – Engineer's letter dated 4 November 2017 – ref: AQ5AQ6-KER-SPQ-LET-0526.

192 Consequently on 10 March 2018, the Respondent notified the Engineer that the instruction constituted a variation within the meaning of Clause 13.⁷¹

193 The Respondent duly submitted its claim for payment of additional compensation in the amount of QAR 70,324.29.⁷²

194 The Respondent has received no response to this claim from the Engineer who has failed to determine the claim. The Respondent persists with its claim.

Variation Claim No.43 – Metal Fence Changed to Glass Balustrades in Standard Villas

195 On 29 April 2018, the Claimant instructed the Engineer to in turn instruct the Respondent to change the boundary metal fence of the general villas to glass balustrades and provided the requisite drawings. The Engineer duly instructed the Respondent on 30 April 2018 to do so.⁷³

196 The Respondent notified the Engineer that this constituted a variation instruction within the meaning of Clause 13 of the Contract.⁷⁴

197 The Respondent duly submitted its claim for payment of additional compensation arising from the variation in the amount of QAR 299,828.92.⁷⁵

198 The Engineer has failed to respond to or adjudicate the claim.

Variation Claim No.44 – Provision for GSM

199 On 7 October 2018, the Claimant instructed the Engineer expressly in terms of Clause 13.1 of the Contract to instruct the Respondent to supply, install, test and commission a GSM network for the project. On 8 April 2018, the Engineer duly instructed the Respondent accordingly.⁷⁶

⁷¹ Exhibit R-184 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0689.

⁷² Exhibit R-185 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0764.

⁷³ Exhibit R-186 – Engineer's letter dated 30 April 2018 – ref: AQ5AQ6-KER-SPQ-LET-0637.

⁷⁴ Exhibit R-187 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0746.

⁷⁵ Exhibit R-188 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0866.

⁷⁶ Exhibit R-73 – Engineer's letter dated 8 October 2018 – ref: AQ3AQ4-KER-SPQ-LET-0690.

- 200 On 8 October 2018 the Engineer issued a revised instruction in terms of Clause 13.1 of the Contract relating to the provisions for the GSN Network.⁷⁷
- 201 The Respondent notified the Engineer that this constituted a variation instruction in terms of Clause 13 of the Contract.⁷⁸
- 202 Thereafter, the Respondent submitted its claim for payment of additional compensation arising from the variation, in the sum of QAR 4,725,743.99.⁷⁹
- 203 The work was duly carried out but the Engineer has failed to respond to or adjudicate the claim and the Respondent persists with the claim.

Variation Claim No.07 – Increase in Cradle Size of the BMU

- 204 On 14 May 2017, the Project Manager instructed the Respondent in accordance with instructions given by the Engineer at a meeting, to increase the BMU cradle size to 3 metres and a capacity of 300kgs. This was also confirmed in a written instruction from the Engineer dated 14 May 2017.⁸⁰ The Respondent notified the Engineer that the instruction constituted a variation instruction in terms of Clause 13 of the Contract.⁸¹
- 205 The Respondent submitted its claim for payment of additional compensation arising from the variation in the sum of QAR 52,416.⁸²
- 206 On 21 November 2017, the Engineer rejected the Respondent's claim for payment of additional costs on the basis that *"the above referred letter is not sufficient to demonstrate the difference of material cost which is submitted by contractor..."*.⁸³

⁷⁷ Exhibit R-189 – Engineer's letter dated 8 October 2018 – AQ3AQ4-KER-SPQ-LET-0690 – Rev 1. Note the reference contains a reference to Project AQ3/AQ4 but applies to both projects.

⁷⁸ Exhibit R-190 – Respondent's letter – ref: AQ3AQ4-SPQ-KER-GEN-LET-0851.

⁷⁹ Exhibit R-191 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0884.

⁸⁰ Exhibit R-192 – Engineer's letter – ref: AQ5AQ6-MED-SPQ-LET-0375.

⁸¹ Exhibit R-193 – Respondent's letter – ref: AQ5AQ6-SPQ-MED-GEN-LET-0409.

⁸² Exhibit R-194 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0483.

⁸³ Exhibit R-195 – Engineer's letter – ref: AQ5AQ6-KER-SPQ-LET-0536.

207 The Respondent's position is that the work was carried out, proof of additional cost was provided and it is entitled to payment of additional compensation.

Variation Claim No.30 – Additional Split AC for Level 41, GSM Room and Main Telecommunications Room

208 The Engineer issued IFC drawing C3/C11. Those drawings differed from the tender drawings in that it required additional split air conditioning units in the telecommunications room, level 41 staircase and the GSM room.

209 Accordingly, on 4 October 2018 the Respondent issued a Notice of Variation in terms of Clause 13 of the Contract, and enclosed a formal notice of variation in terms of Clause 13.3 of the Contract.⁸⁴

210 The work was duly carried out by the Respondent and the Respondent submitted its claim for payment of additional compensation in the amount of QAR 187,992.23.⁸⁵

211 The Engineer failed to determine this claim or to certify payment in favour of the Respondent. The Respondent persists with its claim.

Variation Claim No.41A – Change in Villa Floor Box

212 At a meeting held on 5 July 2018, the Engineer instructed the Respondent to vary the finish for the floor box for each device with hard metal chasing.⁸⁶

213 On 24 October 2018, the Respondent submitted its notice in terms of Clause 13 confirming that this constituted a variation and enclosed a formal Notice of Variation in terms of Clause 13.3 setting out the extent of the variation arising from the Engineer's instruction.⁸⁷

⁸⁴ Exhibit R-196 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0655.

⁸⁵ Exhibit R-197 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0765.

⁸⁶ Exhibit R-198 – Minutes of Meeting of Technical Clarifications – Meeting Ref: ABQ-SPID-KERNAL-MOM-14.

⁸⁷ Exhibit R-199 – Respondent's letter dated 24 October 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0854.

214 The Respondent duly submitted its claim for payment of additional compensation of QAR 20,331.88.⁸⁸

215 The Engineer has failed to respond to or determine the Respondent's claim. The Respondent's position is that the work was done and that it is entitled to payment of the additional compensation.

Variation Claim No.13 – Additional Closet at Apartment TR-3A in AQ3 and AQ4 (Mobica Scope)

216 On 1 April 2017, the Project Manager instructed the Respondent to install an additional closet in the apartments in Towers AQ3 and AQ4.⁸⁹

217 The Respondent duly notified the Engineer that the instruction constituted a variation in terms of Clause 13.⁹⁰

218 The Respondent submitted its claim to the Engineer for payment of additional compensation arising from the variation in the sum of QAR 308,089.38.⁹¹

219 The Engineer has failed to respond to or determine the Respondent's claim. The Respondent's position is that the work constituted a variation, the work has been completed and the Respondent is entitled to be paid compensation therefor.

Variation Claim No. 11 – Requirement of Tece Cistern Support Legs (Additional Wall To Conceal The Cistern)

220 On 3 July 2017, in response to a request for information submitted by the Respondent, the Claimant and the Engineer instructed the Respondent to construct an additional wall to conceal the cistern in the case of wall mounted cisterns.⁹²

⁸⁸ Exhibit R-200– Respondent's letter– ref: AQ5AQ6-SPQ-KER-GEN-LET-0885.

⁸⁹ Exhibit R-201 – Request for information dated 1 April 2017 – ref: AQ5AQ6-SPQ-MED-ARC-AG-RFI-0037.

⁹⁰ Exhibit R-202 – Respondent's letter– ref: AQ5AQ6-SPQ-KER-GEN-LET-0552.

⁹¹ Exhibit R-203 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0708.

⁹² Exhibit R-204 – Request for Information dated 3 July 2017 – ref: AQ5AQ6-SPQ-KER-ARC-AG-RFI-0053.

- 221 On 17 July 2017, the Respondent gave notice of the fact that the instruction constituted a variation and gave notice in terms of Clause 13.3 of the Contract that the instruction constituted a variation and that the Respondent will claim payment of additional compensation.⁹³
- 222 The Respondent queried the need for the construction of the additional wall rather than the originally proposed installation methodology and pointed out that it would compromise the fire safety ratings under the QCDD Regulations. Through a series of correspondence, the Engineer and the Project Manager instructed the Respondent to proceed with the installation and the construction of an additional wall.⁹⁴
- 223 On 2 August 2017, the Respondent submitted its claim for payment of additional compensation and for an interim measurement and evaluation arising from the instruction for additional works.⁹⁵
- 224 On 10 May 2018, the Respondent submitted its revised evaluation of the additional cost associated with the variation, claiming an amount of QAR1,900,272.99.⁹⁶
- 225 On 3 September 2018, the Respondent submitted its further revised evaluation of the additional cost associated with the variation, claiming an amount of QAR 2,379,918.48. ⁹⁷
- 226 On 14 May 2018, the Engineer issued notice to the Respondent rejecting the claim for additional compensation for the instructed variation.⁹⁸

⁹³ Exhibit R-205 - Respondent's letter to the Engineer dated 17 July 2017 – ref: AQ5AQ6-SPQ-AER-GEN-LET-0468

⁹⁴ Exhibit R-205 – Respondent's letter ref: AQ5AQ6-SPQ-KER-GEN-LET-0468; Exhibit R-206 – Engineer's letter AQ5AQ6-KER-SPQ-LET-0452; Exhibit R-207 - Engineer's letter ref: AQ5AQ6-KER-SPQ-LET-0472; Exhibit R-208– Respondent's letter to the Engineer ref: AQ5AQ6-SPQ-KER-GEN-LET-0540; Exhibit R-209 - Engineer's letter to the Respondent ref: AQ5AQ6-KER-SPQ-LET-0474; Exhibit R-210 - Respondent's letter to the Project Manager ref: AQ5AQ6-SPQ-MED-GEN-LET-0417.

⁹⁵ Exhibit R-211 - Respondent's letter to the Engineer of 2 August 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0482

⁹⁶ Exhibit R-212 - Respondent's letter to the Engineer dated 10 May 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0738

⁹⁷ Exhibit R-213 – Respondent's letter – ref: AQ5AQ6-SPQ-KER-GEN-LET-0808

⁹⁸ Exhibit R-214 – Engineer's letter – ref: AQ5AQ6-KER-SQP-LET-0643

227 The Respondent disputes the position adopted by the Engineer and the Project Manager, contends that the instruction received constituted a variation in terms of clause 13.3 and that the Respondent is entitled to the additional compensation claimed.

Variation Claim No.31 – Change in colour of wiring accessories in front of house from white to silver

228 On 4 December 2017, by way of Site Transmittal No. EL0068, the Engineer instructed the Respondent to provide a silver finishing colour for wiring in front of house as approved by the Interior Designer and by the Claimant.⁹⁹

229 This was contrary to the accepted value engineering proposals contained in the contract.

230 Consequently, on 30 September 2018, the Respondent formally notified the Engineer that the instruction constituted a variation within the meaning of clause 13.3 of the Contract and that the Respondent would be entitled to payment of additional compensation for works arising from the variation.¹⁰⁰

231 On 20 February 2018, the Engineer rejected the Respondent's assertion that this constituted a variation, contending that the change of colour selection in the wiring did not constitute a change of the Contractor's scope.¹⁰¹

232 The Respondent replied to the Engineer correcting the Engineer and highlighting the variation instructed.¹⁰²

⁹⁹ Exhibit R-215 - Site Transmittal – ref: AQ5AQ6-SPQ-MED-MEP-MT-EL0062-00.

Exhibit R-216 - Respondent's letter dated 15 February 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0656 incorporating formal notification of variation no 31.

¹⁰⁰ Exhibit R-217 - Respondent's letter dated ~~30 September 2018~~ ^{1 October 2018} – ref: AQ3AQ4-SPQ-KER-GEN-LET-~~0829~~ ⁻⁰⁸³⁰, incorporating formal notification of Variation no. 31.

¹⁰¹ Exhibit R-218 – Engineer's letter of 20 February 2018 – ref: AQ5AQ6-KER-SPQ-LET-0597.

¹⁰² Exhibit R-219 – Respondent's letter dated 6 May 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0733.

233 On 2 October 2018, the Respondent notified the Engineer of the additional costs incurred in consequence of variation instruction no. 31 and claimed additional compensation of QAR 273,848.53.¹⁰³

234 The Engineer has failed to respond to the claim and Respondent persists with its claim for payment of additional compensation.

Variation Claim No. 14 – Changes in threshold height and bathtub face cladding with marble instead of wood cladding

235 The Engineer issued comments on submitted shop drawings on 20 December 2016 under transmittal number AQ5AQ6-SPQ-MED-ARC-FPSD-0049-REV1, in which the Engineer instructed the Respondent to change the threshold height and to change the cladding for the bathtub face from wood to marble.¹⁰⁴

236 On 2 October 2017, the Respondent submitted its claim for payment of additional cost by virtue of the variation instructed by the Claimant directly, claiming additional compensation of QAR 1,485,714.24.¹⁰⁵

237 By letter dated 1 October 2018, the Engineer did not deny that the instruction constituted a variation and that additional compensation was payable but requested supporting documents from the relevant marble sub-contractor. That was provided by the Respondent's letter of 17 October 2018.

238 This notwithstanding, the Engineer has failed to assess or respond further to the claim. The Respondent persists with the claim in respect of an instruction given by the Claimant directly, and in respect of the works which were duly completed in accordance with such instruction.

¹⁰³ Exhibit R-220 - Respondent's letter of 2 October 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0830, together with the valuation of variation works.

¹⁰⁴ Exhibit R-221 – The Engineer's transmittal – ref: AQ4AQ5-SPQ-MED-ARC-FPSD-0049-REV1.

¹⁰⁵ Exhibit R-222 - Respondent's letter dated 2 October 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0536; Exhibit R-223- Respondent's further letter of 17 October 2018 to the Engineer – ref: AQ5AQ6-SPQ-KER-GEN-LET-0847.

Variation Claim No. 2 – Modification to service lobby, increase in parking numbers, changes of general arrangements of rooms and additional water tanks in the basement

- 239 By way of IFC drawings issued by the Engineer on 7 April 2016¹⁰⁶ the Engineer introduced a number of changes and variations which impacted and caused modification to the service lobby, an increase in the number of parking bays, changes of general arrangement of rooms and the installation of additional water tanks in the basement.¹⁰⁷
- 240 On 27 December 2015, the Respondent notified the Engineer that a review of the issued IFC Architectural and Structural Drawings reveal substantial modifications and additional work and gave notice of the variation instructed.¹⁰⁸
- 241 On 6 April 2016, the Respondent submitted its claim for the cost impact on civil and architectural works of the variations instructed by the Engineer and claimed payment of additional compensation of QAR 461,245.72.¹⁰⁹
- 242 On 13 April 2016, the Engineer addressed a letter to the Respondent, contending that the variation claim had been submitted out of time and had become time-barred, thus refusing the claim for payment of additional compensation.¹¹⁰
- 243 On 21 April 2016, the Respondent replied to the Engineer, disputing that the claim had become time-barred and pointing out that the changes had been submitted in phases due to the large volume of detail checking and verification required. The Respondent thus disputed the suggestions of time-barring and persisted with its claim.¹¹¹

¹⁰⁶ Exhibit R-224 – IFC Drawing C8 as read with Engineer's letter AQ5AQ6-MED-SPQ-LET-117.

¹⁰⁷ Exhibit R-225 - Letter of MEDAD dated 10 August 2015 – ref: ABQ-MED-SPQ-LET-025.

¹⁰⁸ Exhibit R-226 – Respondent's letter dated 27 December 2015 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0077.

¹⁰⁹ Exhibit R-227 - Respondent's letter to the Engineer dated 6 April 2016 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0143 with enclosed variation claim and build-up.

¹¹⁰ Exhibit R-228 – Engineer's letter dated 13 April 2016 – ref: AQ5AQ6-MED-SPQ-LET-0120.

¹¹¹ Exhibit R-229 – Respondent's letter dated 21 April 2016 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0154..

244 On 15 May 2016 the Engineer replied, persisting with its contention that the claim had become time-barred and on that basis refusing the claim. The Engineer did not dispute that a variation had been instructed or that the work had been carried out.¹¹²

245 The Respondent disputes that the claim has been time-barred, contends that the claim was submitted timeously, that the Engineer issued a variation instruction and that the Respondent duly carried out the work. Consequently, the Respondent contends that it is entitled to payment of additional compensation in respect of the variation works and persists with its claim.

Variation Claim No. 3 – changes introduced for standard villa foundation structure

246 On 7 April 2016, the Engineer issued IFC drawings “Structured drawings C8” for the villas, which introduced variations to the structural design for the standard villa foundations.¹¹³

247 On 13 April 2016, the Respondent notified the Engineer that the IFC introduced variations to the foundation structure for the villas and gave notice in terms of clause 8.4 as read with clause 20.1 that it would seek additional time and cost.¹¹⁴

248 On 27 April 2016, the Respondent again wrote to the Engineer and requested a site instruction to proceed with the structural changes as contained in the IFC drawings. On 30 April 2016 the Engineer advised that the IFC drawings are project drawings and that no further site instruction is required to proceed with the variations.¹¹⁵

249 On 16 May 2016 the Respondent submitted its claim for payment of additional compensation arising from the variation works and claimed payment of QAR 3,935,055.57.¹¹⁶

¹¹² Exhibit R-230 – Engineer’s letter dated 15 May 2016 – ref: AQ5AQ6-MED-SPQ-LET-0143.

¹¹³ Exhibit R-224 - Engineer letter dated 7 April 2016 – ref: AQ5AQ6-MED-SPQ-LET-0117 and IFC drawings C8

¹¹⁴ Exhibit R-231 - Respondent’s letter to the Engineer dated 13 April 2016 – ref: AQ3AQ4-SPQ-MED-GEN-LET-0144.

¹¹⁵ Exhibit R-232 – Engineer’s letter - ref: AQ5AQ6-MED-SPQ-LET-0133.

¹¹⁶ Exhibit R-233 - Respondent’s letter to the Engineer dated 16 May 2016 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0176 together with detailed qualification of claim enclosed.

250 On 17 January 2017, the Engineer advised that the claim is an incomplete interim claim and that it *"will not put any effort into evaluating until it's completely submitted in the 42 day period from being aware of the event ..."*. The Engineer stated that the claim had not been submitted within 42 days from the issue of the IFC drawings containing the varied works and consequently *"any further communications regarding this interim measurement is henceforth rejected"*.¹¹⁷

251 The Respondent takes issue with the position adopted by the Engineer, contends that it has complied with the contractual requirements and submitted its detailed claim as soon as all details were known to it and that it is entitled to be compensated in the amount claimed for the additional structural works undertaken on the instruction of the Engineer. The Respondent consequently persists with its claim.

Variation Claim No. 8 – additional electrical water heaters and associated piping works

252 On 10 February 2016, the Engineer issued site transmittal no. 0017, instructing the Contractor to follow IFC drawings issued by the Engineer, which contained a requirement for additional electrical water heaters and associated piping.¹¹⁸

253 On 2 August 2017, the Respondent submitted its interim measurement and evaluation of the cost of the additional works arising from the variation in the amount of QAR 157,069.50.¹¹⁹

254 On 17 January 2018, the Respondent supplemented its claim and confirmed that the claim had been submitted as a variation claim pursuant to a meeting chaired by representatives of the Claimant.¹²⁰

255 On 21 January 2018, the Engineer advised Respondent that it required additional documents and required the Respondent to highlight in the IFC drawings differences

¹¹⁷ Exhibit R-234- Engineer's letter of 17 January 2017 – ref: AQ5AQ6-MED-SPQ-LET-0276.

¹¹⁸ Exhibit R-235 - Site transmittal no. AQ5AQ6-SPQ-MED-MEP-MT-PD0028 and Exhibit ^{R-362}~~R-106~~ – Letter from MEDAD regarding IFC drawing C11 issued, dated 24 August 2016 and IFC drawing C11.

¹¹⁹ Exhibit R-236 - Respondent's letter of 2 August 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0481

¹²⁰ Exhibit R-237 - Respondent's letter of 17 January 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0631

in quantities and to measure the variation value. The Engineer consequently failed meet with its obligations under clause 3.5 of the Contract and, furthermore, failed to have regard to the detailed particularity which had already been provided by the Respondent.

- 256 The Respondent persists with its claim which relates to variations instructed by the Engineer and variation works consequently carried out and completed by the Respondent.

Variation Claim No. 19 – additional pumps for domestic water services and associated piping works

- 257 On 10 August 2015 the Engineer issued IFC drawings which resulted in requirements for additional pumps for the domestic water services and also required additional associated piping.¹²¹

- 258 On 23 November 2017, the Respondent notified the Engineer that the variation which arose from the IFC drawings requiring additional pumps and pipe work constituted a variation in terms of clause 13.3 of the Contract and submitted a formal variation notification.¹²²

- 259 On 9 January 2018, the Respondent submitted its claim for payment of additional compensation arising from the variation in the amount of QAR 628,703.99.¹²³

- 260 The Engineer has failed to respond to the claim or to determine same and the Respondent persists with its claim for payment of additional compensation.

Variation Claim No. 18 – variation for additional light points in TR-2 Apartments

- 261 On 26 February 2017, the Engineer issued site transmittal of shop drawings under transmittal no. 0158 in which the Respondent was instructed to follow the notes

¹²¹ Exhibit R-225 - Letter of MEDAD dated 10 August 2015 – ref: ABQ-MED-SPQ-LET-0025.

¹²² Exhibit R-238 - Respondent's letter dated 23 November 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0586 with Variation Notification enclosed

¹²³ Exhibit R-239 - Respondent's letter to the Engineer of 9 January 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0628

enclosed with that transmittal. As a result, the Engineer required the installation of additional light points in the designated TR-2 Apartments.¹²⁴

262 On 21 November 2017, the Respondent notified the Engineer that the drawings issued and the instruction under the site transmittal constituted a variation in terms of clause 13.3 and issued notification of variation no. 18.¹²⁵

263 On 30 December 2017, the Respondent submitted its interim measurement and evaluation claim for the additional works arising from the variation instruction and claimed payment in the sum of QAR 45,057.60.¹²⁶

264 The Engineer responded on 23 January 2018, rejecting the variation claim and asserting that *"no relevant instruction from any party to add lighting points, it was proposed by the SPQ in the shop drawings as per the site conditions"*.¹²⁷

265 The Respondent takes issue with the Engineer's position. The lights were added to site drawings in conjunction with the Engineer and the variation duly carried out. The Respondent is thus entitled to payment of additional compensation for the varied work.

Variation Claim No. 4 – additional lamps in back of house area

266 On 24 December 2017, and by site transmittal of material submittals no. EL0067, the Engineer issued instructions for material submittals for the back of house lighting. This, read with the relevant IFC drawings, constituted an instruction to vary the lighting by requiring installation of additional lamps in the back of house areas.¹²⁸

¹²⁴ Exhibit R-240 - Site transmittal of shop drawings - ref: AQ5AQ6-SPQ-MED-ARC-FC-SD-0158

¹²⁵ Exhibit R-241 - Respondent's letter to the Engineer of 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0585

¹²⁶ Exhibit R-242 – Respondent's letter to the Engineer of 30 December 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0599.

¹²⁷ Exhibit R-243 – Engineer's letter – ref: AQ5AQ6-KER-SPQ-LET-0583.

¹²⁸ Exhibit R-240 - Site transmittal of material submittal issued by Engineer no. AQ5AQ6-SPQ-MED-ARC-FC-SD0158-02.

- 267 On 4 June 2017, the Respondent notified the Engineer that the instruction which arose from the document submittal and the IFC drawings constituted a variation and issued notification of variation no. 4 in terms of clause 13.3 of the Contract.¹²⁹
- 268 On 21 October 2018, the Respondent submitted its claim for payment of additional compensation arising from the variation instruction issued by the Engineer and submitted its claim in the amount of QAR 55,039.12.¹³⁰
- 269 On 8 June 2017 the Engineer responded, rejecting the claim on the basis that the back of house lighting material used did not follow the approved brands for back of house lighting fittings, notwithstanding that the Respondent followed the Engineer's instructions in this regard and gave notice of such variation. The Respondent takes issue with the Engineer's determination and persists with its claim for payment in respect of the lighting materials procured and installed on the Engineer's instructions.

Variation Claim No. 22 – Access Control system for lift

- 270 In the issue of IFC drawing C-3, the Engineer instructed variations from that contained in the tender drawings to the access control system for the lifts.¹³¹
- 271 On 26 November 2017, the Respondent issued its notice of variation enclosing notice of variation No.22. It issued a formal notice in terms of Clause 13.3 for the variation to the access control systems for the lift.¹³²
- 272 The Respondent duly carried out and completed the work and on 9 January 2018 submitted its claim for payment of additional compensation in the sum of QAR 376,551.76.¹³³

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- ¹²⁹ Exhibit R-244 – Respondent's letter dated 4 June 2017 - ref: AQ5AQ6-SPQ-MED-GEN-LET-0425 enclosing notice of variation no. 4.
- ¹³⁰ Exhibit R-245 - Respondent's letter to the Engineer dated 21 October 2018 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0829.
- ¹³¹ Exhibit R-246 – IFC drawing C-3.
- ¹³² Exhibit R-247 – Respondent's letter dated 26 November 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0590, enclosing notification of variation no.22.
- ¹³³ Exhibit R-248 – Respondent's letter dated 9 January 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0629.

273 The Engineer failed to assess or determine the claim for payment of additional compensation. The Respondent persists with its claim.

Variation Claim No. 20 – increase in overhead and profit for provisional sum items

274 On 20 August 2016, the Claimant issued an instruction to the Respondent in terms of clause 13.1(h) and clause 13.5(a) to instruct a variation and increase the provisional sum to provisional sum 6 (joinery and woodwork).¹³⁴

275 On 27 August 2016, the Respondent acknowledged the Claimant's instruction and reserved the right to claim additional overhead and profit at a value of 8% on the varied sum in accordance with the provisions of clause 13.5 of the Contract.

276 The provisional sums allocated for provisional sum 6 in the Bill of Quantities have been utilised in full and the Respondent is consequently entitled to its 8% mark-up for overhead and profit in the amount of QAR1,659,580.05.¹³⁵

277 Consequently, the Respondent claims payment from the Claimant in the amount of QAR1,659,580.05.¹³⁶

Variation Claim No. 1 – final excavation to foundation level and related additional dewatering systems to reach the final level

278 The works for excavation of foundations, sump pits and the like from bulk excavation to foundation level for the podiums and the villas were priced in the Respondent's tender against Bill of Quantity items 2/31/1/A, 5/31/1/A and 6/31/1/A.

279 Subsequent thereto, and during the course of negotiations in the process of value engineering, it is agreed that the excavation commencing from the bulk excavation level to the foundation level, be deleted from the Respondent's scope of works and

¹³⁴ Exhibit R-113 - Claimant's letter dated 20 August 2016 - ref: SPQ/AQ5AQ6/2016/12.

¹³⁵ Exhibit R-249 - Extract of the provisional sum section of the Bill of Quantities reflecting original overhead and profit entitlement and revised overhead, profit and entitlement arising from increased provisional sums.

¹³⁶ Exhibit R-115 – Respondent's letter dated 27 August 2016, ref: SPQ-AAL-ORAIQ/011/2016/RK/037.

would be executed by the Enabling Contractor. This was recorded in item II-A-3 at page 2 of the Value Engineering Ratification.

280 However, when the Respondent commenced on site it identified that the Enabling Contractor had not excavated the foundations up to the final level except in the tower areas. Consequently, and in order to progress works, the Respondent indicated that it would have to excavate foundations for isolated footings and sump pits, commencing from the bulk excavation level up to the final excavation level. This also entailed deep excavation for sump pits at various locations, additional dewatering systems, including additional wells and dewatering pumps.

281 When the Respondent took occupation of the Works and accepted the as-built drawings, those as-built drawings were prepared by the enabling works contractor and assumed to record and reflect what had been agreed to be within the scope of works of the Enabling Contractor. However, when the Respondent determined that the Enabling Contractor had failed to excavate from the bulk earthworks to the foundation levels and that the Respondent would have to undertake such works, it duly gave notification thereof to the Engineer on 10 September 2015.¹³⁷

282 The Engineer responded by letter dated 13 October 2015 and stated that as-built ground levels had always been available to the Respondent to determine for itself and that as it had taken occupation of the Works without objection, any additional excavation works were deemed to be within the scope of the Respondent.¹³⁸

283 This dispute was further ventilated in an exchange of correspondence between the Respondent and the Engineer, in which the Respondent pointed out that it was required to undertake excavation works which had been expressly removed from its Scope and put into the Scope of the Enabling Contractor, but which had not been performed by the Enabling Contractor. It therefore pointed out to the Engineer that the requirement for it to undertake excavation works which had been previously been

¹³⁷ Exhibit R-162 – Respondent's letter to the Engineer dated 10 September 2015 - ref: AQ5AQ6-SPQ-MED-GEN-LET-0017.

¹³⁸ Exhibit R-250 - Engineers letter of 13 October 2015 - ref: AQ5AQ6-MED-SPQ-LET-002.

removed from the Respondent's Scope of Works constituted a variation in the Respondent's Scope of Works.¹³⁹

284 On 3 January 2016, the Respondent submitted its claim for the cost of additional excavation of isolated footings in the podium, villa foundations, sump pits and for additional dewatering, in which it claimed additional payment of QAR1,005,912.12.¹⁴⁰

285 The Respondent persists with its claim for work undertaken that ought to have been completed by the Enabling Contractor and claims payment in the sum of QAR1,151,472.01.

Variation Claim No. 5 – changes introduced in wiring accessories and electrical points (claim for difference in quantities)

286 In the course of the tender process, the Respondent issued a scope clarification which was responded to on 21 January 2015 and which clarified the scope for the provision of wiring accessories.¹⁴¹

287 On 25 December 2016, the Respondent issued its notification of variation with respect to the wiring accessories for AQ5 and AQ6, pursuant to an assessment of the difference in quantities and measurements determined by the MEP subcontractor.¹⁴²

288 On 11 January 2017 the Engineer responded to the notification, indicating that it did not accept any variation as it required a comparison between tender drawings and approved shop drawings.¹⁴³

¹³⁹ Exhibit R-251 - Respondent's letter - ref: AQ5AQ6-SPQ-MED-GEN-LET-0021.
Exhibit R-252 - Engineer's letter - ref: AQ5AQ6-MED-SPQ-LET-013.
Exhibit R-253 - Respondent's letter - ref: AQ5AQ6-SPQ-MED-GEN-LET-0036.
Exhibit R-254 - Engineer's letter - ref: AQ5AQ6-MED-SPQ-LET-028.
Exhibit R-255 - Respondent's letter - ref: AQ5AQ6-SPQ-MED-GEN-LET-0049.

¹⁴⁰ Exhibit R-256 - Respondent's letter to the Engineer dated 3 January 2016 - ref: AQ5AQ6-SPQ-MED-GEN-LET-0083.

¹⁴¹ Exhibit R-R-257 – Tender package consolidated KEO response number 7.

¹⁴² Exhibit R-258 – Respondent's letter to the Engineer dated 25 December 2016 - ref: AQ5AQ6-SPQ-MED-GEN-LET-0277.

¹⁴³ Exhibit R-259 – Engineer's letter dated 11 January 2017 - ref: AQ5AQ6-MED-SPQ-LET-0264.

- 289 On 23 March 2017 the Respondent submitted its claim for payment of additional compensation arising from the increased wiring accessory requirements providing a detailed breakdown of additional requirements and claiming QAR9,774,956.98.¹⁴⁴
- 290 On 6 April 2017, the Engineer rejected the Respondent's claim for additional compensation and denied that the Respondent was entitled to additional compensation, because there had been no comparative assessment undertaken between shop drawings and tender drawings.¹⁴⁵
- 291 On 26 November 2017, the Respondent submitted its updated interim measurement and claim for variations arising from the change in wiring accessories, claiming payment of additional compensation in the amount of QAR12,750,821.85.¹⁴⁶
- 292 On 23 January 2018, the Engineer responded to the 151 page updated claim submission of the Respondent in a two page letter simply stating the claim contained some calculation errors and on that basis summarily rejected the claim.¹⁴⁷
- 293 Following a review meeting with the Engineer held on 23 January 2018, the Respondent submitted its further revised interim claim on 2 April 2018, setting out the claim and the support for the claim in detail. In terms thereof, the Respondent claimed payment of additional compensation in the sum of QAR10,829,659.40.¹⁴⁸
- 294 Following a further review meeting with the Engineer held on 25 April 2018, the Respondent delivered its further revised claim for additional compensation arising from the instructed variation to wiring accessories in the sum of QAR11,273,634.29.¹⁴⁹
- 295 The Engineer has not responded any further to claim and has failed to properly adjudicate and determine the claim in accordance with the Engineer's obligations

¹⁴⁴ Exhibit R-260 – Respondent's letter dated 23 March 2017 - ref: AQ5AQ6-SPQ-MED-GEN-LET-0353.

¹⁴⁵ Exhibit R-261 - Engineer's letter dated 6 April 2017 - ref: AQ5AQ6-MED-SPQ-LET-0350.

¹⁴⁶ Exhibit R-262 - Respondent's letter dated 26 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0594.

¹⁴⁷ Exhibit R-263 - Engineer's letter dated 23 January 2018 - ref: AQ5AQ6-KER-SPQ-LET-0574.

¹⁴⁸ Exhibit R-264 - Respondent's letter dated 2 April 2018 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0710.

¹⁴⁹ Exhibit R-265 - Respondent's letter dated 15 May 2018 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0741.

under clause 3.5. The Respondent persists with the claim and seeks an order directing the Claimant to make payment accordingly.

Variation Claim No. 21 – Design Change: changes to booster pumps (increasing capacity) at VIP villas

296 On 26 November 2017 the Respondent issued its notice of variation 21 with reference to RFI issued by the Engineer which entailed design changes for the booster pumps for the VIP villas, from those stipulated in the tender drawings. The Respondent therefore gave notice in terms of clause 13.3 that this constituted a variation and that it would seek payment of additional remuneration.¹⁵⁰

297 On 10 May 2018, the Respondent submitted its claim for payment of additional compensation due and arising from the variation instruction and work carried out pursuant thereto in the amount of QAR58,867.93.¹⁵¹

298 The Engineer has failed to determine the claim, in breach of its obligations under clause 3.5 of the Contract. The Respondent seeks an order directing the Claimant to make payment of the compensation due in accordance with its claims.

Variation Claim No. 23 – Impact of the additional small power outlet in master bedroom – TR2A, TR2B, TR2C and TR3A

299 On 11 March 2017, and in response to a request for information, the Engineer instructed the Respondent to install an additional power outlet in the master bedrooms for units TR2A, TR2B, TR2C and TR3A.¹⁵²

300 On 26 November 2017, the Respondent gave notice in terms of clause 13 that the instruction constituted a variation and enclosed notification of variation no. 23 requiring additional small power outlets in the master bedrooms.¹⁵³

¹⁵⁰ Exhibit R-266 - Respondent's letter dated 26 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0589.

¹⁵¹ Exhibit R-267 - Respondent's letter dated 10 May 2018 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0737.

¹⁵² Exhibit R-268 – RFI with Engineer's response dated 27 February 2017 – ref: AQ3AQ4-SPQ-MED-MEP-RFI-EL0025.

¹⁵³ Exhibit R-269 – Respondent's letter dated 26 November 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0591.

301 On 5 July 2018, the Respondent submitted its claim for payment of additional compensation arising from this variation instruction and the work carried out, amounting to QAR93,074.56.¹⁵⁴

302 The Engineer, in breach of its obligations, failed to determine this claim and the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Variation Claim No. 33 – marble works variation for standard villas

303 At a technical clarification meeting held on 23 October 2017, the Engineer instructed the Respondent to make changes to the marble specifications and layouts for the master bathroom and the bathtub in the secondary bathrooms for standard villas 1A. The Engineer recorded that “any reworks at site deviating from IFC and approved shop drawings will be treated as a variation and shall have time and cost impact”.¹⁵⁵

304 On 17 March 2018, the Respondent gave notification to the Engineer in terms of clause 13.3 that the instruction constituted a variation and enclosed notification of variation no. 33.¹⁵⁶

305 ON 24 November 2018, the Respondent submitted its claim for payment of additional compensation arising from this variation instruction and work carried out in the amount of QAR208,561.39.¹⁵⁷

306 In breach of its obligations, the Engineer has failed to determine this claim and the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Variation Claim No. 36 – variation for marble works (townhouse staircase skirting)

¹⁵⁴ Exhibit R-270 – Respondent’s letter dated 5 July 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0767 with enclosed claim document.

¹⁵⁵ Exhibit R-271 – Minutes of technical clarification meeting dated 23 October 2017 – ref: SPQ-GEN-F-008.

¹⁵⁶ Exhibit R-272 – Respondent’s letter dated 17 March 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0694.

¹⁵⁷ Exhibit R-273 – Respondent’s letter dated 24 November 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0886.

307 Through comments provided by the Engineer on the townhouse 2A mock-up, the
Engineer made changes to the specification for the staircase skirtings.¹⁵⁸

308 On 2 August 2018, the Respondent issued its notice in terms of clause 13.3, recording
that the instruction constituted a variation and enclosed notification of variation no.
36.¹⁵⁹

309 On 6 December 2018, the Respondent submitted its claim for payment of additional
compensation arising from this variation instruction and work carried out, amounting
to QAR61,700.16.¹⁶⁰

310 In breach of its obligations, the Engineer failed to determine this claim and the
Respondent seeks an order directing the Claimant to make payment to it in
accordance with the claim submitted.

Variation Claim No. 47 – change in wall layout between ground floor main entrance
and restaurant

311 RFI drawings issued by the Engineer indicated a change from the tender drawings in
the wall layouts between the ground floor main entrance and the restaurant. This
constituted a variation in accordance with clause 13.3 of the Contract. This was
recorded in minutes of meeting held on 1 May 2014.¹⁶¹

312 On 28 November 2018, the Respondent issued variation notice 47 together with the
quantification of its claim for additional compensation in respect thereof, in which the
Respondent claimed payment of QAR66,966.56.¹⁶²

313 In breach of its obligations under clause 3.5 of the Contract, the Engineer has failed
to determine the claim and the Respondent seeks an order directing the Claimant to
make payment to it in accordance with the claim submitted.

¹⁵⁸ Exhibit R-274 – Engineer’s email dated 24 December 2017.

¹⁵⁹ Exhibit R-275 – Respondent’s letter dated 2 August 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0786.

¹⁶⁰ Exhibit R-276 – Respondent’s letter dated 6 December 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0899.

¹⁶¹ Exhibit R-277 – Minutes of meeting no. 7 dated 13 June 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0752.]

¹⁶² Exhibit R-278 – Respondent’s letter dated 28 November 2018 ref: AQ5AQ6-SPQ-KER-GEN-LET-0893.

Variation Claim No. 38 – additional CCTV cameras

- 314 During the course of tender, value engineering was undertaken and agreed, including in relation to the quantity of CCTV cameras. In doing so, the Engineer accepted the value engineering and stipulated “designed by specialised third party. Shelf form part of relevant submission and subjected to client, consultant and MOI approval during the construction”.¹⁶³
- 315 On 10 December 2017, the Respondent notified the Engineer of a scope change with respect to the CCTV system and provided confirmation thereof from the MEP subcontractor.¹⁶⁴
- 316 On 5 December 2017, the Engineer responded, requiring the Respondent to utilise the two main CCTV rooms but to do so without additional time or cost implications.¹⁶⁵
- 317 On 6 January 2018, the Respondent provided the Engineer with a revised bill of quantities for the CCTV installation, requesting the Engineer’s approval.¹⁶⁶
- 318 On 14 January 2018, the Engineer provided the Respondent with a letter of confirmation from the Claimant and the signed and stamped bills of quantity, in accordance with the request from the MEP subcontractor.¹⁶⁷
- 319 On 26 November 2018, the Respondent submitted its claim for payment of additional compensation arising from this variation, in the sum of QAR2,742,403.86.¹⁶⁸
- 320 In breach of its obligations, the Engineer failed to determine the claim and the Respondent seeks an order directing the Claimant to make payment to the Respondent in accordance with the claim submitted.

¹⁶³ Exhibit R-279 – Value Engineering .3K on page 19 of 21.

¹⁶⁴ Exhibit R-280 - Respondent’s letter dated 10 December 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0606.

¹⁶⁵ Exhibit R-281 – Engineer’s letter of 5 December 2017 – ref: AQ5AQ6-KER-SPQ-LET-0549.

¹⁶⁶ Exhibit R-282 – Respondent’s letter dated 6 January 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0624.

¹⁶⁷ Exhibit R-283 – Engineer’s letter dated 14 January 2018 – ref: AQ5AQ6-KER-SPQ-LET-0565.

¹⁶⁸ Exhibit R-284 – Respondent’s letter dated 26 November 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0891.

Variation Claim No. 45 – Active Components

- 321 During the course of the tender process, the value engineering ratifications approved by the Engineer stipulated that all active components which included wireless antennae, desktops, laptops, telephone instrument for tenants, printing and imaging equipment, projectors, LCD or LED TVs, DVD players, operating systems, client services, client data storage set top box and digital signage would be excluded from the Contractor's scope.¹⁶⁹
- 322 During the course of the works, the Engineer issued an engineer's instruction through an IFC which changed the requirements for active components. Consequently, on 6 November 2018, the Respondent submitted notice of variation 45, giving notice in terms of clause 13.3 and indicating that additional compensation would be payable for these items which fell outside the Respondent's scope of works. The Engineer responded on 23 January 2018.¹⁷⁰
- 323 On 7 November 2018, the Respondent delivered its claim to the Engineer for payment of additional compensation arising from this variation, in the sum of QAR3,174,040.08.¹⁷¹
- 324 On 23 January 2018, the Engineer notified the Respondent that it would not accept the variation claim and stated "*the active components removed in the VE are the end-user equipments only, any equipments related to the main function of any system are not related to this omission and must be provided by the contractor.*".¹⁷²
- 325 The Respondent takes issue with the Engineer's response which fails to recognise the variation and additional requirements instructed beyond the Respondent's original scope.

¹⁶⁹ Exhibit R-285 – Value Engineering .BH at page 13 of 21 of the Value Engineering Ratifications.

¹⁷⁰ Exhibit R-286 – Respondent's letter to the Engineer's letter dated 6 November 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0871.

¹⁷¹ Exhibit R-287 – Respondent's letter dated 7 November 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0872.

¹⁷² Exhibit R-288 – Engineers letter dated 23 January 2018 – ref: AQ5AQ6-KER-SPQ-LET-0582.

326 Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Variation Claim No. 41 – Additional metering points and associated works

327 On 17 April 2017, the Engineer advised the Respondent that it had received feedback from the Master Developer who had required the installation of additional metering points and associated works, and provided copies of the instructions received from the Master Developer.¹⁷³

328 On 14 June 2017, the Respondent advised the Engineer of the changes and additions instructed by the Master Developer and that those were additional items that were not part of the original scope.¹⁷⁴

329 On 10 October 2018 the Respondent submitted its claim for additional costs incurred as a result of the instruction and consequent work completed in the amount of QAR1,117,803.26.¹⁷⁵

330 On 23 April 2018, the Engineer responded to the claim stating that *"the Lump Sum Contract Price means that the Contractor shall supply, install, test, commission and hand over the project as per Tender requirements ... the Local Authority requirement is the requirement of Authority in Qatar. It's not design consultant requirement. Therefore Contractor shall comply all Local Authority requirements as per Tender requirements and hand over the project to Employer ... the subclause 13 and 20 of Condition in Contract are not applicable ..."*.¹⁷⁶

331 The Respondent takes issue with the Engineer's position. The requirement for additional metering points was in excess of that required in the specifications provided for tender purposes and constitutes a variation irrespective of from where the variation arose.

¹⁷³ Exhibit R-289 - Engineer's letter dated 17 April 2017 - ref: AQ5AQ6-MED-SPQ-LET-0352.

¹⁷⁴ Exhibit R-290 - Respondent's letter to Engineer dated 14 June 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0434.

¹⁷⁵ Exhibit R-291 – Respondent's letter dated 10 October 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0827.

¹⁷⁶ Exhibit R-292 – Engineer's letter dated 23 April 2018 – ref: AQ5AQ6-KER-SPQ-LET-0630.

332 Consequently, the Respondent seeks an order directing the Claimant to make payment to the Respondent in accordance with the claim submitted.

Variation Claim No. 9 – increase in scope of aviation obstruction lighting system

333 On 29 September 2016 the Engineer conveyed the instruction received from the Civil Aviation Authority of Qatar regarding its requirements for aviation lighting and for purposes of getting Civil Aviation Authority approval.¹⁷⁷

334 On 13 July 2017 the Respondent wrote to the Engineer and provided notification of variation 9, recording that this constituted a variation in terms of clause 13.3.¹⁷⁸

335 On 7 November 2018 the Respondent submitted its claim for additional costs incurred for purposes of complying with the Civil Aviation Authority requirements and sought payment of QAR63,850.92. In breach of its obligations under clause 3.5 of the Contract, the Engineer has not determined the claim.¹⁷⁹

336 On 17 July 2017, the Engineer notified the Respondent that it did not accept the variation as it arose from requirements of the government agencies.¹⁸⁰

337 The Respondent takes issue with the Engineer's position as the requirement for additional lighting is a scope variation from that required through the tender and therefore constitutes a variation.

338 Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

¹⁷⁷ Exhibit R-293 - Engineer's letter dated 29 September 2016 - ref: AQ5AQ6-MED-SPQ-LET-0206.

¹⁷⁸ Exhibit R-294 - Respondent's letter of 13 July 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0464.

¹⁷⁹ Exhibit R-295 – Respondent's letter dated 7 November 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0873.

¹⁸⁰ Exhibit R-296 – Engineer's letter dated 17 July 2017 – ref: AQ5AQ6-KER-SPQ-LET-0442.

Variation Claim No. 17 – smoke ventilation system variations

- 339 On 24 August 2016, the Engineer issued IFC drawings for a series of disciplines, including for the smoke ventilation system. The IFC drawings reflected changes from the approved tender drawings.¹⁸¹
- 340 Consequently, on 21 November 2017 the Respondent issued notification of variation 17, recording that the changes to the smoke ventilation system for basement level constitutes a variation in accordance with the requirements of clause 13.3.¹⁸²
- 341 Pursuant thereto and on 2 December 2017 the Respondent submitted its claim for additional compensation arising from the variations instructed to the smoke ventilation system, in the amount of QAR2,046,744.00.
- 342 In breach of its obligations under clause 3.5 of the Contract, the Engineer failed to determine the claim. Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Variation Claim No. 25 – change in type/model of exit light

- 343 By changes indicated in the IFC drawings, the Engineer instructed changes to the type and model of exit lights to be installed.¹⁸³
- 344 Consequently, on 27 December 2017 the Respondent gave notice to the Engineer of a variation in terms of clause 13.3 and enclosed notification of variation no. 25.¹⁸⁴
- 345 On 6 January 2018, the Respondent submitted its claim for payment of additional compensation arising from this variation, in the amount of QAR1,336,579.01.¹⁸⁵
- 346 On 30 July 2018 the Engineer notified the Respondent that it did not accept the variation because it contended that it had been agreed to return to the original

¹⁸¹ Exhibit R-297 - Engineer letter dated 24 August 2016 - ref: AQ5AQ6-MED-SPQ-LET-0182.

¹⁸² Exhibit R-298 - Respondent's letter of 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0584.

¹⁸³ Exhibit R-299 – Site Transmittal dated 15 November 2017 – ref: AQ5AQ6-SPQ-MED-MEP-MT-EL-0024.

¹⁸⁴ Exhibit R-300 – Respondent's letter dated 27 December 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0617.

¹⁸⁵ Exhibit R-301 – Respondent's letter dated 6 January 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0621.

specification. The Respondent takes issue with the Engineer's position, as it installed the emergency exit light fixtures in accordance with the Engineer's instructions and is entitled to compensation therefore.

347 Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Variation Claim No. 6 – change in make for Le Grande Toscam wiring accessories

348 On 7 February 2017, the Engineer instructed the Respondent to make a change in the specifications for wiring accessories, in accordance with the Claimant's written instructions dated 6 February 2017.¹⁸⁶

349 On 18 May 2017, the Respondent submitted its claim for payment of additional compensation arising from this variation in the amount of QAR1,509,613.46.¹⁸⁷

350 The Engineer failed to determine the variation claim in breach of its obligations under clause 3.5. Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

NOV12 – additional requirements of CO warning lights

351 On 16 August 2017, by site transmittal, the Engineer instructed the Respondent to change the specifications for CO warning lights.¹⁸⁸

352 On 25 September 2017, the Respondent notified the Engineer in terms of clause 13 that the instruction constituted a variation.¹⁸⁹

¹⁸⁶ Exhibit R-302 – Engineer's letter dated 7 February 2017 – ref: AQ5AQ6-MED-SPQ-LET-0282.

¹⁸⁷ Exhibit R-303 – Respondent's letter dated 18 May 2017 – ref: AQ5AQ6-SPQ-MED-GEN-LET-0403.

¹⁸⁸ Exhibit R-304 – Site Transmittal ref: AQ3AQ4-SPQ-KER-MEP-MT-EL-0067. This transmittal applied equally to Project AQ5AQ6.

¹⁸⁹ Exhibit R-305 – Respondent's letter dated 25 September 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0524.

Variation Claim No. 15 – network active components for access control system

- 353 On 21 June 2017, by site transmittal, the Engineer instructed the Respondent to change the specification for the access control system.¹⁹⁰
- 354 Consequently, 21 November 2017, the Respondent notified the Engineer in terms of clause 13 that the instruction constituted a variation.¹⁹¹
- 355 On 2 December 2017, the Respondent submitted its claim for payment of additional compensation arising from this variation in the amount of QAR111,534.80.¹⁹²
- 356 On 29 November 2017, the Engineer notified the Respondent that it rejected the claim for additional compensation because “*active components excluded in the VE ratification are the end-user equipments only, remaining all other equipments which affect the function of the system is considered under the scope of the contractor*”.¹⁹³
- 357 The Respondent takes issues with the Engineer’s position as the requirements instructed by the Engineer are in excess of the Respondent’s scope of work established in the tender and in the contract.
- 358 Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Variation Claim No. 20 – additional water hammer arrester (for levels 4 to 18)

- 359 On 7 January 2017, and by site transmittal of shop drawings, the Engineer instructed the Respondent to adopt a variation for additional water hammer arresters in levels 4 to 18.¹⁹⁴

¹⁹⁰ Exhibit R-306 - Site Transmittal - ref: AQ5AQ6-SPQ-KER-MEP-MT-EL-0041.

¹⁹¹ Exhibit R-307 - Respondent’s letter dated 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0582.

¹⁹² Exhibit R-308 - Respondent’s letter dated 2 December 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0596.

¹⁹³ Exhibit R-309 – Engineer’s letter dated 29 November 2017 – ref: AQ5AQ6-KER-SPQ-LET-0543.

¹⁹⁴ Exhibit R-310 – Site Transmittal of shop drawings – ref: AQ5AQ6-SPQ-MED-MEP-SD-PD-0023 Revision 3.

360 Consequently, on 26 November 2017 the Respondent notified the Engineer in terms of clause 13.3 that the instruction constituted a variation.¹⁹⁵

361 The Respondent delivered its claim for payment of additional compensation arising from this instruction on 9 January 2018 in which it claimed payment of additional compensation in the sum of QAR62,013.60.¹⁹⁶

362 The Engineer failed to make any determination of the claim, in breach of its obligations under clause 3.5 of the contract. Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim submitted.

Change in logistics for delivery of bathtubs (United Suppliers)

363 In consequence of the diplomatic embargo imposed on the state of Qatar, the Respondent was obliged to incur additional expenses to secure delivery of bathtubs to site. The Engineer had instructed the Respondent to take all required steps to expedite delivery of materials affected by the diplomatic embargo.

364 Consequently, on 19 July 2017 the Respondent delivered its claim for payment of additional costs incurred in consequence of the diplomatic embargo, to secure the delivery of sanitary ware and specifically bathtubs to site. The Engineer's instruction contained in the Engineer's letter of 9 July 2017 (ref: AQ5AQ6-SPQ-KER-GEN-LET-0442). Consequently, the Respondent claimed payment in the amount of QAR173,429.10.

365 By letter dated 23 July 2017, the Engineer rejected the claim, denying that the diplomatic embargo constituted an event of Force Majeure and stating "*any additional payments and time extensions shall not be acceptable if any changes in logistic plan pursuant to sub-clause 13.8 of particular conditions of contract and its already informed to the contractor...*".¹⁹⁷ The Respondent takes issue with the Engineer's

¹⁹⁵ Exhibit R-311 – Respondent's letter dated 26 November 2017 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0588.

¹⁹⁶ Exhibit R-312 – Respondent's letter dated 9 January 2018 – ref: AQ5AQ6-SPQ-KER-GEN-LET-0627.

¹⁹⁷ Exhibit R-313 – Engineer's letter dated 23 July 2017 – ref: AQ5AQ6-KER-SPQ-LET-0448.

position in that the diplomatic embargo was an event that was unforeseeable and beyond the control of the Parties. The additional cost incurred was incurred on the instruction of the Engineer to expedite delivery of materials affected by the embargo.

366 Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim delivered.

NOC3, claim 2 – change in logistics for the delivery of metal doors (shipping variation)

367 In consequence of the diplomatic embargo imposed on the state of Qatar, the Respondent was obliged to incur additional expenses to secure delivery of metal doors to site. The Engineer had instructed the Respondent to take all required steps to expedite delivery of materials affected by the diplomatic embargo.

368 Consequently, on 19 July 2017 the Respondent delivered its claim for payment of additional costs incurred in consequence of the diplomatic embargo, to secure the delivery of the metal doors to site. The Engineer's instruction contained in the Engineer's letter of 9 July 2017 (ref: AQ5AQ6-SPQ-KER-GEN-LET-0465). Consequently, the Respondent claimed payment in the amount of QAR690,000.00.

369 By letter dated 23 July 2017, the Engineer rejected the claim, denying that the diplomatic embargo constituted an event of Force Majeure and stating "*any additional payments and time extensions shall not be acceptable if any changes in logistic plan pursuant to sub-clause 13.8 of particular conditions of contract and its already informed to the contractor...*".¹⁹⁸ The Respondent takes issue with the Engineer's position in that the diplomatic embargo was an event that was unforeseeable and beyond the control of the Parties. The additional cost incurred was incurred on the instruction of the Engineer to expedite delivery of materials affected by the embargo.

370 Consequently, the Respondent seeks an order directing the Claimant to make payment to it in accordance with the claim delivered.

¹⁹⁸ Exhibit R-314 – Engineer's letter dated 23 July 2017 – ref: AQ5AQ6-KER-SPQ-LET-0449.

Variation Claim No. 4 – change in logistic in procuring elevator materials

371 The Respondent has set out the circumstances surrounding the diplomatic embargo imposed upon Qatar and the consequences for procurement and, in particular, procurement of long lead items in the section of this Statement of Claim dealing with the Respondent's entitlement to an extension to the Time for Completion.

372 Clause 19.4 of the Contract stipulates:

"If the Contractor is prevented from performing any of his obligations under the Contract by Force Majeure of which notice has been given under sub-clause 19.2 ... and suffers delay and/or incurs cost by reason of such Force Majeure, the Contractor shall be entitled subject to sub-clause 20.1 ... to:

(a) if the event or circumstance is of the kind described in paragraph (i) to (iv) of sub-clause 19.1 ... and, in the case of sub-paragraphs (ii) to (iv) occurs in the country payment of any such cost."

373 The Respondent duly gave notice of Force Majeure upon declaration of the diplomatic blockade on Qatar. Furthermore, and in any event, the Respondent is entitled to recover any additional cost incurred and delays sustained by virtue of events beyond its control in accordance with clause 8.4 as read with clause 20.1 of the Contract.

374 Consequently, the Respondent duly provided notice in terms of clause 20.1 of the Contract advising of the revised logistical requirements which arose from the diplomatic blockade and provided correspondence of notification received from the relevant sub-contractor.¹⁹⁹

375 On 21 November 2017, the Respondent submitted its claim for payment of additional compensation arising from the revised procurement strategy caused by the economic blockade, claiming payment of an additional QAR546,186.²⁰⁰

¹⁹⁹ Exhibit R-315 - Respondent's letter of 14 August 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0498.

²⁰⁰ Exhibit R-316 - Respondent's letter of 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0575.

376 On 27 August 2017 the Engineer responded to the Contractor's claim "*any additional payments and time extensions shall not be acceptable if any changes in logistic plan in accordance with sub-clause 4.16 and 3.8 of Conditions of Contract. This is Contractor ... obligation to transport the goods to complete the project with own risk and cost as per Contract, and its already informed to the Contractor ... hence Contractor ... submitted notice of claim is invalid and rejected since it's a contractor obligation*".²⁰¹

377 The Respondent's position is that the additional time and costs arose from events beyond the control of the Parties and events which constituted a Force Majeure as a result of which it is entitled to recover the costs of alternative procurement to overcome the limitations created by the diplomatic embargo and seeks an order directing the Claimant to make payment to it in accordance with the claim as submitted.

Variation Order No. 5 – change in logistics in procuring material for structural steel work

378 The Respondent has set out the circumstances surrounding the diplomatic embargo imposed upon Qatar and the consequences for procurement and, in particular, procurement of long lead items in the section of this Statement of Claim dealing with the Respondent's entitlement to an extension to the Time for Completion.

379 Clause 19.4 of the Contract stipulates:

"If the Contractor is prevented from performing any of his obligations under the Contract by Force Majeure of which notice has been given under sub-clause 19.2 ... and suffers delay and/or incurs cost by reason of such Force Majeure, the Contractor shall be entitled subject to sub-clause 20.1 ... to:

²⁰¹ Exhibit R-317 – Engineer's letter dated 27 August 2017 – ref: AQ5AQ6-KER-SPQ-LET-0480.

(a) if the event or circumstance is of the kind described in paragraph (i) to (iv) of sub-clause 19.1 ... and, in the case of sub-paragraphs (ii) to (iv) occurs in the country payment of any such cost."

380 The Respondent duly gave notice of Force Majeure upon declaration of the diplomatic blockade on Qatar. Furthermore, and in any event, the Respondent is entitled to recover any additional cost incurred and delays sustained by virtue of events beyond its control in accordance with clause 8.4 as read with clause 20.1 of the Contract.

381 Consequently on 14 August 2017 the Respondent gave notice to the Engineer in terms of clause 20.1 of the Contract and gave notification of claim 5, arising from the imposition of the diplomatic embargo.²⁰²

382 Pursuant thereto on 21 November 2017 the Respondent submitted its claim for additional compensation for alternative procurement strategies incurred as a consequence of the embargo in the amount of QAR314,965.80.²⁰³

383 On 27 August 2017 the Engineer rejected the claim on the same grounds as that cited for rejection of the procurement costs in relation to elevator materials.²⁰⁴

Notice of claim 9 – change in logistics for the delivery of material – epoxy and traffic coating works

384 The Respondent has set out the circumstances surrounding the diplomatic embargo imposed upon Qatar and the consequences for procurement and, in particular, procurement of long lead items in the section of this Statement of Claim dealing with the Respondent's entitlement to an extension to the Time for Completion.

385 Clause 19.4 of the Contract stipulates:

"If the Contractor is prevented from performing any of his obligations under the Contract by Force Majeure of which notice has been given under sub-clause 19.2 ...

²⁰² Exhibit R-318- Respondent's letter of 14 August 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0499.

²⁰³ Exhibit R-319 - Respondent's letter of 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0576.

²⁰⁴ Exhibit R-320 – Engineer's letter dated 27 August 2017 – ref: AQ5AQ6-KER-SPQ-LET-0481.

and suffers delay and/or incurs cost by reason of such Force Majeure, the Contractor shall be entitled subject to sub-clause 20.1 ... to:

(a) if the event or circumstance is of the kind described in paragraph (i) to (iv) of sub-clause 19.1 ... and, in the case of sub-paragraphs (ii) to (iv) occurs in the country payment of any such cost."

386 The Respondent duly gave notice of Force Majeure upon declaration of the diplomatic blockade on Qatar. Furthermore, and in any event, the Respondent is entitled to recover any additional cost incurred and delays sustained by virtue of events beyond its control in accordance with clause 8.4 as read with clause 20.1 of the Contract.

387 Consequently on 27 August 2017 the Respondent gave notice to the Engineer in terms of clause 20.1 of the Contract and gave notification of claim 5, arising from the imposition of the diplomatic embargo.²⁰⁵

388 Pursuant thereto on 21 November 2017 the Respondent submitted its claim for additional compensation for alternative procurement strategies incurred as a consequence of the embargo in the amount of QAR143,359.15.²⁰⁶

389 On 27 August 2017 the Engineer rejected the claim on the same grounds as that cited for rejection of the procurement costs in relation to elevator materials.²⁰⁷

Notice of claim 8 – change in logistics for delivery of TECE cistern toilets (sanitary ware)

390 The Respondent has set out the circumstances surrounding the diplomatic embargo imposed upon Qatar and the consequences for procurement and, in particular, procurement of long lead items in the section of this Statement of Claim dealing with the Respondent's entitlement to an extension to the Time for Completion.

391 Clause 19.4 of the Contract stipulates:

²⁰⁵ Exhibit R-321 - Respondent's letter of 27 August 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0510.

²⁰⁶ Exhibit R-322 - Respondent's letter of 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0578.

²⁰⁷ Exhibit R-323 - Engineer's letter of 27 August 2017 - ref: AQ5AQ6-KER-SPQ-LET-0491.

"If the Contractor is prevented from performing any of his obligations under the Contract by Force Majeure of which notice has been given under sub-clause 19.2 ... and suffers delay and/or incurs cost by reason of such Force Majeure, the Contractor shall be entitled subject to sub-clause 20.1 ... to:

(a) if the event or circumstance is of the kind described in paragraph (i) to (iv) of sub-clause 19.1 ... and, in the case of sub-paragraphs (ii) to (iv) occurs in the country payment of any such cost."

392 The Respondent duly gave notice of Force Majeure upon declaration of the diplomatic blockade on Qatar. Furthermore, and in any event, the Respondent is entitled to recover any additional cost incurred and delays sustained by virtue of events beyond its control in accordance with clause 8.4 as read with clause 20.1 of the Contract.

393 Consequently on 14 August 2017 the Respondent gave notice to the Engineer in terms of clause 20.1 of the Contract and gave notification of claim 8, arising from the imposition of the diplomatic embargo.²⁰⁸

394 Pursuant thereto on 21 November 2017 the Respondent submitted its claim for additional compensation for alternative procurement strategies incurred as a consequence of the embargo in the amount of QAR33,726.00.²⁰⁹

On 27 August 2017 the Engineer rejected the claim on the same grounds as that cited for rejection of the procurement costs in relation to the TECE cisterns.²¹⁰

Notice of claim 1 – additional amount due to undermeasured quantity of concrete and reinforcement

395 On 2 June 2015 the Engineer issued drawings for review by the Consultant in response to the Consultant's response to the 7 tender clarifications dated 21 January 2015 and the post-tender addendum no. 1 clarifications. The quantities of concrete and reinforcement included as part of the IFC drawings far exceeded that which was

²⁰⁸ Exhibit R-324 - Respondent's letter of 14 August 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0509.

²⁰⁹ Exhibit R-325 - Respondent's letter of 21 November 2017 - ref: AQ5AQ6-SPQ-KER-GEN-LET-0577.

²¹⁰ Exhibit R-326 – Engineer's letter dated 27 August 2017 – ref: AQ5AQ6-KER-SPQ-LET-0490.

committed to by the Consultant in the tender clarifications and tender addendum no. 1.

396 Consequently, and on 22 September 2015, the Respondent notified the Claimant that additional costs could not be overcome by value engineering and requested the Claimant to give instruction for the further construction of the works in question.

397 On 1 December 2015, the Claimant responded stating "*pursuant, clause 14.1(a), (c) and clause 1.5 of the Contract, your claim for variance addressed therein cannot be considered*".

398 Clause 14.1(a) stipulates that the Contract price shall be subject to adjustments in accordance with the Contract.

399 Clause 14.1(c) stipulates that any quantities which may be set out in the Bill of Quantities or other Schedule are estimated quantities and are not to be taken as the actual and correct quantities.²¹¹

400 On 22 September 2015 the Respondent notified the Claimant of additional quantities of concrete and reinforcement that had been installed, in accordance with the Engineer's IFC drawings.²¹²

401 On 14 December 2015, the Respondent wrote to the Claimant in which it pointed out:

401.1 concrete and reinforcement quantities for the towers were included in the Contract as per instructions given in tender circular no. 7 as issued by the Consultant;

401.2 refusal to consider the revised figures in terms of clause 14.1(a) and 14.1(c) are not sensible;

²¹¹ Exhibit R-327 - Claimant's letter dated 1 December 2015 - ref: SPQ/AQ5&6/2015(04) KEO responses to tender clarifications addressing quantities of concrete and reinforcement.

²¹² Exhibit R-328 – Respondent's letter dated 22 September 2015 – ref: SPQ-AL-ORAIQ/011/2015/RK/016.

- 401.3 the claim is based entirely on the variance in quantities between the IFC drawings and the quantities included in the Contract via tender circulars.²¹³
- 402 On 20 January 2016, the Claimant responded stating "*regardless of any such confirmations Contractor assumes responsibilities for the quantities of the works to be executed as per the contract documents and bound by the Contract Price as per clause 14.1. ... consequently, we find your claim unwarranted and hence rejected*".²¹⁴
- 403 On 7 February 2016 the Respondent again wrote to the Claimant clarifying the basis for the claim and recorded that at a meeting held between the parties on 24 January 2016, the Claimant's representatives undertook to look upon the claim fairly and favourably. It therefore again requested an assessment of the claims.²¹⁵
- 404 The Employer responded on 23 July 2017 stating that "*we reiterate that, with your solemnisation of contract documents as a whole, argument to establish quantities advised in the tender queries solely on the basis of your offer is not acceptable when the aspect of verification of the quantities is solely the obligation of the Contractor*".²¹⁶
- 405 On 8 July 2017 the Respondent wrote to the Claimant recording that the project is proceeding and that it is being constructed in accordance with the additional requirements for concrete and reinforcement. Consequently it indicated that the contract would be conclude and that there would consequently be a variation claim of QAR32,170,00.00. Neither the Employer nor the Engineer have responded to the claim or sought to determine the claim.
- 406 The Respondent's position is that the cost for additional concrete and reinforcement was incurred as instructed by the Engineer and the relevant consultant through the IFC drawings and that the Respondent was obliged to execute the works in

²¹³ Exhibit R-329 - Respondent's letter to the Claimant of 14 December 2015 - ref: SPQ-AKY/011/2015(RK)/0024.

²¹⁴ Exhibit R-330 - Claimant's letter dated 20 January 2016 – ref: SPQ/AQ5&6/2015/7.

²¹⁵ Exhibit R-331 - Respondent's letter of 7 February 2016 – ref: SPQ-AKY/011/2016/RK(027).

²¹⁶ Exhibit R-332 – Claimant's letter of 23 July 2017 – ref: SQP/AQ5&6/2017/21.

accordance with those instructions. Consequently, the Respondent's position is that it is entitled to be compensated for the works so executed and seeks an order directing the Claimant to make payment to the Respondent in the amount of QAR32,170,000.00.

Notice of claim no. 3 – procurement of elevators

407 Value engineering specifications concluded in the tender process, it was stipulated that "elevator specifications for MEP and finishes shall be modified based on the specifications based on KONE approved by the client and supervision consultant".²¹⁷

408 However, the Claimant and the Engineer indicated a preference for not using KONE and to use Mitsubishi as the lift contractor. On 9 November 2015, the Respondent notified the Claimant of the quotations received from each of Mitsubishi and KONE which reflected a difference in price of QAR2,500,00.00 and indicated that if instructed to utilise the Mitsubishi offer, that is outside the agreed scope and budget.²¹⁸

409 On 17 November 2015 the Claimant responded by letter to the Respondent stating that it was instructing the Respondent to utilise Mitsubishi for the project and to do so "*without any variations to the Contract*".²¹⁹

410 On 22 November 2015, the Respondent wrote to the Claimant that:

410.1 the agreed budget of QAR35 million was discussed for the elevators;

410.2 however, on account of value engineering undertaken by the Respondent it was agreed to utilise KONE as the sub-contractor at a lump sum amount of QAR28 million. However, in accordance with the Claimant's instructions,

²¹⁷ Exhibit R-333 - Item D.1 (equipment) page 1 of value engineering ratification.

²¹⁸ Exhibit R-334 - Respondent's letter dated 9 November 2018 – ref: SPQ-AKY/011/2015/RK021.

²¹⁹ Exhibit R-335 - Claimant's letter dated 17 November 2015 – ref: SPQ/AQ3&4/2015/04.

the Respondent undertook to utilise Mitsubishi in lieu of what had been agreed and that the additional cost would have to be fairly assessed.²²⁰

411 The Claimant did not respond thereto.

412 On 10 May 2016 the Respondent again wrote to the Claimant seeking a fair assessment on the variation in the lift subcontract and budget and requested a response.²²¹

413 On 8 July 2017 the Respondent again wrote to the Claimant, requesting approval and the issuing of a variation order in accordance with the instructions to utilise Mitsubishi, and to incur the additional cost.²²²

414 The Claimant failed to respond thereto.

415 In accordance with the Claimant's instructions, which the Respondent was obliged to adhere to, the lifts were installed by Mitsubishi and an additional cost was incurred of QAR2,500,000.00. In the circumstances the Respondent seeks an order directing the Claimant to make payment to it in the sum of QAR2,500,000.

IX. COSTS OF RESISTING THE CLAIMANT'S DEMANDS ON THE RESPONDENT'S SECURITIES

416 As has been set out earlier in this Statement of Counterclaim, the Claimant and the Engineer deliberately and in bad faith administered the Contract contrary to its express provisions and refused to fairly determine the Respondent's requests for revisions to the time for completion, payment of prolongation costs and payment of variations instructed by either the Engineer or the Claimant.

417 Had the Claimant and the Engineer administered the Contract in good faith and according to its express requirements:

²²⁰ Exhibit R-336 - Respondent's letter of 22 November 2015 – ref: SPQ-AKY/011/2015/RK/0022.

²²¹ Exhibit R-337 - Respondent's letter dated 10 May 2016 – ref: SPQ-AKY/011/2016/RK/033.

²²² Exhibit R-338 - Respondent's letter of 8 July 2017 – ref: SPQ-AKY/011/2017/RK/049.

- 417.1 the time for completion would have been extended until, at the very least, March 2021;
- 417.2 the Claimant would have had to pay the Respondent prolongation costs in excess of QAR170 million;
- 417.3 the Claimant would have had to pay the Respondent additional compensation for instructed variations in excess of QAR89 million.
- 418 Consequently, the Claimant would have been indebted to the Respondent in an amount of at least QAR250 million. As far as the extensions of time and associated delay penalties are concerned, those would have depended upon a further delay analysis to take into account the fact that the Claimant took occupation of the works and that the works were delayed by Mobica, for whose default the Claimant was liable. However, whatever the case may ultimately be, the delay penalties were capped at QAR89 million and the Claimant would still have remained indebted to the Respondent in a sum of not less than QAR180 million.
- 419 Consequently, there was simply no factual or legal basis on which the Claimant could have placed a demand on the Respondent's performance security, advance payment security or retention securities. In this regard:
- 419.1 as the Respondent has already demonstrated in the context of its interim relief application, the advance payment bonds had almost been fully repaid;
- 419.2 the Respondent was entitled to release of its retentions given that the works had been handed over; and
- 419.3 there was very little work left to be completed as illustrated by the Claimant's own Statement of Claim which shows that its claims, repairs and costs are limited to some QAR19 million.
- 420 In the circumstances, the Respondent's position is that the Claimant's calls on the Respondent's securities was made in bad faith, in an effort to frustrate legitimate claims held by the Respondent and prosecuted in these arbitration proceedings and

ought not to have forced the Respondent to incur the cost of resisting encashment of those securities and seeking interim relief.

421 In the circumstances, the Respondent seeks an order directing the Claimant:

421.1 to pay the costs of the interim relief proceedings;

421.2 to indemnify the Claimant against and pay all legal costs incurred by the Respondent in resisting the encashment of its securities in the local onshore courts.

X. RELIEF SOUGHT

422 In the circumstances, the Claimant seeks an order from the Tribunal in the following terms:

422.1 setting aside Addendum 1 in accordance with the provisions of Article 140 of the Qatar Civil Code, alternatively setting aside the Addendum in accordance with the provisions of article 106 of the Qatar Civil Code;

422.2 extending the time for completion by 903 days to 21 March 2021, alternatively such further extended date as the Tribunal may determine the Respondent is entitled to pursuant to the evidence and expert evidence presented in these proceedings;

422.3 an order directing Claimant to pay to the Respondent prolongation costs of QAR177,565,468.00;

422.4 payment of disruption costs, the quantum of which is to be determined;

422.5 payment for variations instructed by the Engineer and the Claimant comprising of:

422.5.1 variation claim no. 10 – QAR3,143,403.36;

422.5.2 variation claim no. 27 – QAR8,512,055.26;

422.5.3 variation claim no. 24 – QAR611,948.79;

422.5.4	variation claim no. 32 – QAR70,324.29;
422.5.5	variation claim no. 43 – QAR299,828.92;
422.5.6	variation claim no. 44 – QAR4,725,743.99;
422.5.7	variation claim no. 7 – QAR52,416.00;
422.5.8	variation claim no. 30 – QAR187,992.23;
422.5.9	variation claim no. 41A – QAR20,331.88;
422.5.10	variation claim no. 13 – QAR308,089.38;
422.5.11	variation claim no. 11 – QAR1,900,272.99;
422.5.12	variation claim no. 31 – QAR273,848.53;
422.5.13	variation claim no. 14 – QAR1,485,714.24;
422.5.14	variation claim no. 2 – QAR461,245.72;
422.5.15	variation claim no. 3 – QAR3,935,055.57;
422.5.16	variation claim no. 8 – QAR157,069.50;
422.5.17	variation claim no. 19 – QAR628,703.99;
422.5.18	variation claim no. 18 – QAR45,057.60;
422.5.19	variation claim no. 4 – QAR55,039.12;
422.5.20	variation claim no. 22 – QAR376,551.76;
422.5.21	additional overhead and profit on increased provisional sums of QAR1,659,580.05;
422.5.22	variation claim no. 1 – QAR1,151,472.01;
422.5.23	variation claim no. 5 – QAR11,273,634.29;

422.5.24 variation claim no. 21 – QAR58,867.93;

422.5.25 variation claim no. 23 – QAR93,074.56;

422.5.26 variation claim no. 33 – QAR208,561.39;

422.5.27 variation claim no. 36 – QAR61,700.16;

422.5.28 variation claim no. 47 - QAR66,966.56;

422.5.29 variation claim no. 38 – QAR2,742,403.86;

422.5.30 variation claim no. 45 – QAR3,174,040.08;

422.5.31 variation claim no. 41 – QAR1,117,803.26;

422.5.32 variation claim no. 9 – QAR63,850.92;

422.5.33 variation claim no. 17 – QAR2,046,744.00;

422.5.34 variation claim no. 25 - QAR1,336,579.01;

422.5.35 variation claim no. 6 - QAR1,509,613.46;

422.5.36 NOV 12 – to be confirmed;

422.5.37 variation claim no. 15 – QAR111,534.80;

422.5.38 variation claim no. 20 - QAR62,013.60;

422.5.39 increase in logistics for bathtubs - QAR173,429.10;

422.5.40 NOC3 - QAR690,000.00;

422.5.41 notice of claim 4 – QAR546,186;

422.5.42 notice of claim 5 – QAR314,965.80;

422.5.43 notice of claim 9 – QAR143,359.15;

422.5.44 notice of claim 8 - QAR33,726.00;

- 422.5.45 notice of claim 1 - QAR32,170,000.00;
- 422.5.46 notice of claim 3 - QAR2,500,000;
- 422.6 directing the Claimant to pay the costs of the Respondent's interim relief application;
- 422.7 directing the Claimant to pay all costs incurred by the Respondent in resisting the encashment of its performance bonds, advance payment bonds and retention bonds;
- 422.8 costs of the arbitration including costs of the Tribunal, QICCA administration costs, costs of venue hire, costs of transcription and any other arbitration costs which the Tribunal deems appropriate be awarded;
- 422.9 Respondent's legal costs;
- 422.10 the costs of Respondent's delay and quantum experts;
- 422.11 such further and/or alternative relief as the Tribunal may deem appropriate.

Eversheds Sutherland

For the Respondent

Eversheds Sutherland (International) LLP

Date: 15 November 2022